

GOVERNMENT OF ALBERTA



Affordability and Utilities

Annual Report
2024-25

Alberta 

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2024-2025 Annual Report

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Preface

The Public Accounts of Alberta are prepared in accordance with the *Financial Administration Act* and the *Sustainable Fiscal Planning and Reporting Act*. The Public Accounts consist of the annual report of the Government of Alberta and the annual reports of each ministry.

The 2024-25 Annual Report reflects the 2024-27 Ministry business plans, the Government of Alberta Strategic Plan, as well as the ministry's activities and accomplishments during the 2024-25 fiscal year, which ended on March 31, 2025.

The Annual Report of the Government of Alberta contains *Budget 2024* Key Results, the audited Consolidated Financial Statements and Performance Results, which compares actual performance results to desired results set out in the government's strategic plan.

This annual report of the Ministry of Affordability and Utilities contains the Minister's Accountability Statement, the ministry's Financial Information and Results Analysis, a comparison of actual performance results to desired results set out in the Ministry Business Plan. This ministry annual report also includes:

- the financial statements of entities making up the ministry including the Alberta Utilities Commission, and the Balancing Pool for which the minister is responsible;
- other financial information as required by the *Financial Administration Act* and *Sustainable Fiscal Planning and Reporting Act*, as separate reports, to the extent that the ministry has anything to report.

All Ministry Annual Reports should be considered along with the Government of Alberta Annual Report to provide a complete overview of government's commitment to openness, accountability, and fiscal transparency.

Minister's Accountability Statement

The ministry's annual report for the year ended March 31, 2025, was prepared under my direction in accordance with the Sustainable Fiscal Planning and Reporting Act and the government's accounting policies. All the government's policy decisions as at June 13, 2025 with material economic or fiscal implications of which I am aware have been considered in the preparation of this report.

[Original signed by]

Nathan Neudorf

Minister of Affordability and Utilities

Message from the Minister



As Alberta's Minister of Affordability and Utilities, I am pleased to present the 2024-25 Annual Report, showcasing the significant progress made in the ministry's ongoing efforts to make everyday life more affordable, while strengthening the reliability and sustainability of our utility system.

Albertans increasingly rely on electricity to provide for their families, power their businesses, and pursue the new, innovative ideas that will shape a brighter future. This is why our government is actively modernizing Alberta's electricity system to ensure it remains affordable, reliable, and sustainable for generations to come.

Over the past year, our government has worked closely with the Alberta Electric System Operator to advance the design of the Restructured Energy Market (REM) and make critical updates to the province's Transmission Policy. I'm pleased to report that we've strengthened the grid, prioritized reliability, and implemented policies to ensure Alberta ratepayers are not solely responsible for the costs of new transmission lines.

While work continues on the REM, we proactively put interim measures in place, including the *Supply Cushion Regulation and Market Power Mitigation Regulation*, to ensure grid reliability and protect ratepayers from volatility.

We also implemented the *Electric Energy Land Use and Visual Assessment Regulation*. This provides clear and consistent rules for new renewable energy projects, safeguarding our environment, Alberta's iconic viewscapes, and our world-class agricultural industry.

As part of the ministry's mandate to address the cost of utilities, the Utilities Consumers Advocate continued its important work of providing consumer education and advocacy for Albertans, farmers and small businesses. We passed the *Utilities Affordability Statutes Amendment Act, 2024* to lower local access fees set by municipalities and introduced the Rate of Last Resort to protect Albertans not on a competitive contract from unpredictable price spikes. The ministry also continued to deliver the Rural Utilities Program, providing more than \$8 million in grant funding to support Albertans living in rural and remote areas access critical services like heat, power and water at a reasonable cost.

In response to rising cost of living challenges, the ministry focused on cross-government initiatives designed to keep more money in the pockets of Albertans, allowing them to use their hard-earned dollars where they're needed the most. This included introducing a new 8 per cent personal income tax bracket, which will save each family up to \$1,500 per year, and a new care-first system for auto insurance, which will deliver cost savings of up to \$400 a year for Albertans.

I am proud of what the ministry and our government has achieved over the past year. We are committed to building on this progress in the year ahead in order to help Albertans meet rising cost of living challenges, and ensure they have access to affordable, reliable utilities they can depend on to provide for their families, power their business and pursue a better, brighter and more prosperous future.

[Original signed by]
Nathan Neudorf
Minister of Affordability and Utilities

Management's Responsibility for Reporting

The Ministry of Affordability and Utilities includes:

- Department of Affordability and Utilities;
- Alberta Utilities Commission; and
- The Balancing Pool.

The executives of the individual entities within the ministry have the primary responsibility and accountability for the respective entities. Collectively, the executives ensure the ministry complies with all relevant legislation, regulations and policies.

Ministry business plans, annual reports, performance results and the supporting management information are integral to the government's fiscal and strategic plan, annual report, quarterly reports, and other financial and performance reporting.

Responsibility for the integrity and objectivity of the accompanying ministry financial information and performance results for the ministry rests with the Minister of Affordability and Utilities. Under the direction of the Minister, I oversee the preparation of the ministry's annual report, which includes the financial information, performance results on all objectives and initiatives identified in the Ministry Business Plan, and performance results for all ministry-supported commitments that were included in the 2024-27 Government of Alberta Strategic Plan. The financial information and performance results, out of necessity, include amounts that are based on estimates and judgments. The financial information is prepared using the government's stated accounting policies, which are based on Canadian public sector accounting standards. The performance measures are prepared in accordance with the following criteria:

- **Reliable** – information used in applying performance measure methodologies agrees with the underlying source data for the current and prior years' results.
- **Understandable** – the performance measure methodologies and results are presented clearly.
- **Comparable** – the methodologies for performance measure preparation are applied consistently for the current and prior years' results.
- **Complete** – outcomes, performance measures and related targets match those included in the ministry's *Budget 2024*.

As Deputy Minister, in addition to program responsibilities, I am responsible for the ministry's financial administration and reporting functions. The ministry maintains systems of financial management and internal control which give consideration to costs, benefits, and risks that are designed to:

- provide reasonable assurance that transactions are properly authorized, executed in accordance with prescribed legislation and regulations, and properly recorded so as to maintain accountability of public money;
- provide information to manage and report on performance;
- safeguard the assets and properties of the province under ministry administration;
- provide Executive Council, the President of Treasury Board and Minister of Finance, and the Minister of Affordability and Utilities the information needed to fulfill their responsibilities; and
- facilitate preparation of Ministry business plans and annual reports required under the *Sustainable Fiscal Planning and Reporting Act*.

- In fulfilling my responsibilities for the ministry, I have relied, as necessary, on the executives of the individual entities within the ministry.

[Original signed by]

David James

Deputy Minister of Affordability and Utilities

June 17, 2025

Results Analysis

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Ministry Overview

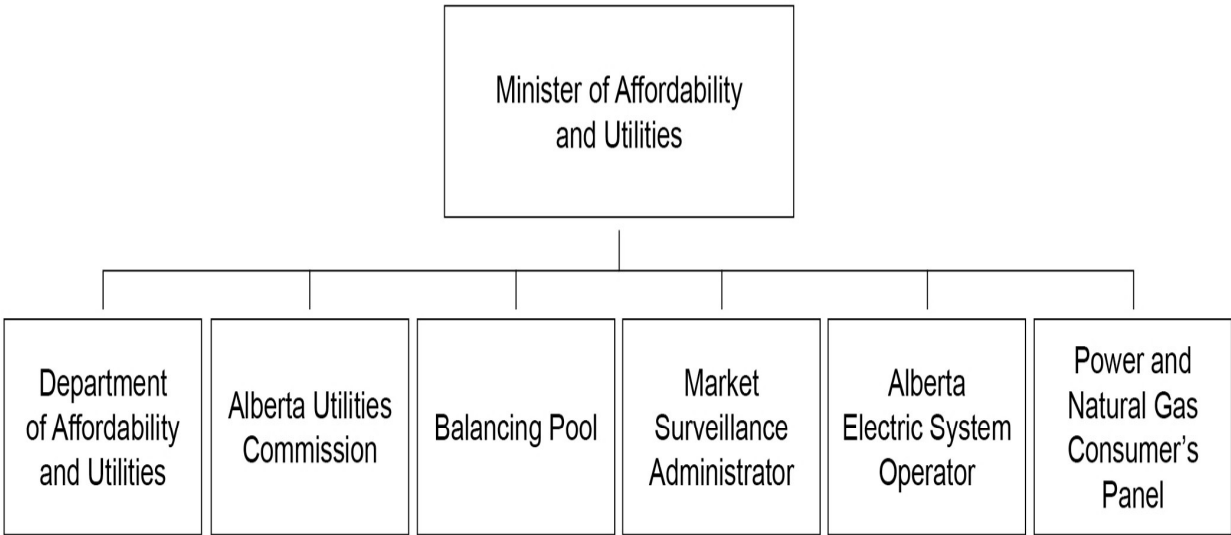
The Ministry of Affordability and Utilities is committed to making everyday life more affordable for Albertans by addressing cost of living expenses and maintaining the Alberta Advantage. The ministry coordinates policies and programs that provide broad cost-of-living relief to all Albertans, with additional targeted supports for families, seniors, and vulnerable individuals. These efforts aim to increase affordability for families and businesses, helping parents, seniors, and vulnerable Albertans manage their daily expenses. The ministry's initiatives are crucial in supporting the quality of life for Albertans and ensuring that the province remains a desirable place to live and work.

In addition to affordability initiatives, the ministry manages and develops policies for Alberta's utilities sector to ensure affordable, safe, and reliable electricity and natural gas systems. The ministry is committed to providing relief and developing long-term solutions to protect consumers and address utility costs. With rapid technological advancements and expected population growth, the ministry is modernizing the electric grid to minimize costs and ensure a stable, reliable electricity supply to support Alberta's economic growth.

The Utilities Consumer Advocate, plays a critical role in representing, educating, and supporting residential, small business, and farm consumers of electricity and natural gas, while also contributing to departmental affordability initiatives and regulatory advocacy.

A more detailed description of the Ministry of Affordability and Utilities and its programs and initiatives can be found at www.alberta.ca/affordability-and-utilities.aspx.

Organizational Structure¹



¹ The Market Surveillance Administrator, Alberta Electric System Operator and the Power and Natural Gas Consumer's Panel are not government reporting entities and have separate corporate reporting procedures.

Operational Overview

The Ministry consists of the Department of Affordability and Utilities, the Alberta Utilities Commission and the Balancing Pool. The Market Surveillance Administrator, Alberta Electric System Operator and the Power and Natural Gas Consumers' Panel are non-government reporting entities for which the Minister of Affordability and Utilities has designated responsibility.²

Department of Affordability and Utilities

Office of the Deputy Minister

The Deputy Minister oversees the ministry under the direction of the Minister and is the liaison between the elected official and ministry employees. The Deputy Minister provides strategic advice and oversees the ministry's day-to-day operations, budget, and program development.

Affordability Division

The Affordability Division focuses on addressing cost-of-living challenges for Albertans by providing consumer education; supporting the development of affordability policies to lower costs for essentials like utilities, food, housing, and insurance; and engaging stakeholders to inform policy development. The division also enhances consumer education through online resources and the Utilities Consumer Advocate. Additionally, the division's mandate includes responsibilities for the legislative, regulatory, and policy development of nuclear energy in Alberta.

Corporate Services Division

The Corporate Services Division provides leadership in establishing fiscal management and manages financial reporting and systems and delivers support services in emergency management and facilities management. Additionally, the division is responsible for agency governance, policy coordination, legislative planning, and strategic engagement planning support, ensuring that the ministry's initiatives are effectively managed and aligned with broader governmental objectives.

Utilities Division

The Utilities Division is responsible for developing and managing policies, legislation, and programs related to Alberta's electricity and natural gas systems. It ensures Albertans have access to affordable, reliable, and sustainable electricity and natural gas. The division also supports the expansion and upgrading of rural utility infrastructure.

Ministry Agencies, Boards and Commissions

Alberta Utilities Commission

The Alberta Utilities Commission (AUC) is an independent, quasi-judicial agency that regulates investor-owned electric, natural gas, and water utilities, as well as certain municipally owned electricity utilities. The AUC ensures customers receive safe and reliable utility services at just and reasonable rates. It makes decisions on the need, siting, construction, alteration, operation, and decommissioning of natural gas and electric transmission facilities. The AUC also regulates power plants, develops and amends rules for retail natural gas and electricity markets, and adjudicates market and operational rule contraventions brought by the Market Surveillance Administrator.

² The Market Surveillance Administrator, Alberta Electric System Operator and the Power and Natural Gas Consumer's Panel are not government reporting entities and have separate corporate reporting procedures.

Balancing Pool

The Balancing Pool (BP) was established in 1998 by the Government of Alberta to help manage the transition to competition in Alberta's deregulated electricity industry. The main mandated obligations of this agency ended with the expiry of the Power Purchase Arrangements (PPA) on December 31, 2020. The BP is currently responsible for winding down its remaining obligations and remains in place to fulfill its existing mandate which concludes on December 31, 2030.

Non-Government Reporting Entities

Market Surveillance Administrator

The Market Surveillance Administrator (MSA) is an independent agency that monitors and enforces the fair, efficient, and openly competitive operation of Alberta's electricity and natural gas markets. The MSA ensures market participants comply with applicable legislation, reliability standards, and market rules. It uses various approaches, from educational materials to investigations and enforcement actions, to promote effective competition and a culture of compliance.

Alberta Electric System Operator

The Alberta Electric System Operator (AESO) is responsible for the design, planning, and operation of Alberta's electricity grid. It ensures the reliable supply of electricity, including during extreme weather events, by developing and applying the Alberta Reliability Standards (ARS), which comply with the North America Electric Reliability Corporation (NERC) standards. The AESO also manages the integration of new and growing technologies into Alberta's electricity market, supporting the government's objectives of long-term affordability, reliability, and sustainability.

Power and Natural Gas Consumers' Panel

The Power and Natural Gas Consumers' Panel is an advisory agency accountable to the Minister of Affordability and Utilities. It provides advice and guidance on current and emerging energy consumer issues, focusing on the interests of residential, farm, and small business electricity and natural gas consumers in Alberta. The panel contributes to policy and regulatory issues, including regulated rate structures, billing consistency, local access and municipal franchise fees, and the electricity pricing system. It also engages in stakeholder and public consultations to gather diverse perspectives and ensure informed advice is provided.

Key Highlights

The Ministry of Affordability and Utilities focused on accomplishing two outcomes identified in the 2024-27 Ministry Business Plan:

- Outcome 1: Albertans have the information and support needed to make cost-of-living more affordable.
- Outcome 2: Alberta's utility system is safe and reliable while supporting an affordable life for Albertans.

Key highlights and results achieved by the Ministry of Affordability and Utilities in 2024-25 include:

- **The Rate of Last Resort:** Transitioned from the Regulated Rate Option to the Rate of Last Resort on January 1, 2025, stabilizing default electricity rate for Alberta consumers for 24 months.
- **Utilities Consumer Advocate (UCA):** Helped save consumers over \$280 million through interventions in Alberta Utilities Commission (AUC) rate hearings. The UCA, through evidence and arguments, was cited in 44 different AUC decisions during 2024-25, and mediated 1,174 disputes between consumers and utility providers, addressing issues such as billing, late bills, and disconnections.
- **Rural Utilities Grant Programs and Allowances:** The Rural Electric Program supported the construction of electric services in rural Alberta, awarding \$664,000 in grants to 163 applicants and the Rural Gas Program provided rebates to rural Albertans through the Remote Area Heating Allowance (RAHA) program, distributing \$918,500 in rebates to almost 1,700 claimants.
- **Auto Insurance Reform:** Collaborated with Treasury Board and Finance on the province's new Care-First system for auto insurance, delivering cost savings of up to \$400 a year for Albertans starting 2027.
- **Affordable Advice for Life Website:** Launched a consumer-focused website offering practical tips and resources on financial literacy, debt management, savings, and preparing for life events, attracting 5,341 visits in its first year.
- **Electric Energy Land Use and Visual Assessment Regulation:** Developed this new regulation under the *Alberta Utilities Commission Act* to protect high-quality agricultural land, irrigable land, and valued views from the impacts of electric energy generation development.
- **Restructured Energy Market (REM)/Transmission:** Initiated the transition to a Restructured Energy Market and updated long-standing transmission policies to deliver affordable, reliable and sustainable electricity for decades to come.

The Ministry of Affordability and Utilities remains committed to regulatory approaches and program delivery that reduces unnecessary government oversight and emphasizes outcomes, to improve access to government services, attract investment, support innovation and competitiveness, and grow Alberta businesses.

Discussion and Analysis of Results

Actions that support the priorities of the Government of Alberta Strategic Plan

Key Priority One:

Boosting Alberta's Advantage

Objective Six: Building Alberta

Providing over \$6 million in grants to assist gas and electricity distributors providing utility services to rural Albertans, and continuing the Rural Electric Program through to 2026 to help reduce the cost of installing farm electric service, such as poles, wires and transformers. Investments support thriving rural communities, and access to an efficient and modern utility distribution system that is safe, reliable, resilient, and environmentally responsible.

- Through the Rural Gas Program, provide grants to gas distributors to continue to expand rural gas distribution infrastructure and service to sparsely populated areas.
- Collaborating with the Alberta Federation of Rural Electrification Association Ltd, to administer Rural Electric Grant Program grants to continue the construction of electrical services on farms and ranches in rural Alberta.

Detailed reporting can be found on [pages 24 to 27](#).

Key Priority Two:

Investing in Albertans

Objective Five: Supporting Albertans most in need

Developing a strategy to reduce electricity bill costs for Albertans by reviewing transmission and distribution policies.

- Undertaking the process of reforming transmission policy to address Albertans frustrations of increasing electricity costs.
- Stabilizing the default electricity rate by transitioning it to the Rate of Last Resort on January 1, 2025, as a two-year fixed rate.

Detailed reporting can be found on [pages 18 to 19](#).

Continuing to implement Stronger Foundations: Alberta's 10-year Strategy to Improve and Expand Affordable Housing, providing safe, stable, affordable housing for an additional 25,000 households by 2032-33.

- Collaborating with Seniors, Community, and Social Services, the lead ministry, to improve and expand affordable housing through the Affordable and Attainable Housing Plan.

Detailed reporting can be found on [page 15](#).

Outcome One: Albertans have the information and support needed to make cost-of-living more affordable

Albertans continue to face challenges of affordability with daily cost-of-living expenses. The Ministry of Affordability and Utilities will lead the Government of Alberta's affordability measures to inform and support Albertans to feed their families, heat and power their homes, and manage the daily cost of living.

During the 2024-25 fiscal year, the Ministry of Affordability and Utilities disseminated educational materials on budgeting and financial planning. Additionally, the Ministry encouraged Albertans to move to competitive rate contracts for utilities and supported the transition to the Rate of Last Resort (RoLR).

Key Objectives

1.1 Lead and coordinate the Government of Alberta's ongoing efforts to identify and advance opportunities to address affordability and cost-of-living concerns of Albertans.

As inflation moderated in 2024-25 from record highs in the previous year, the government's approach to affordability shifted from acute spending to long-term policy interventions to limit long term economic pressures in the province. As part of this shift, the ministry supported Albertans by mitigating utility price spikes and increasing awareness among consumers. [For more details, see [Key Objective 1.5](#) regarding Local Access Fees and RoLR on pages 18 to 19].

Significant Results

- The Ministry held seven roundtables across Alberta, engaging with more than 200 stakeholders, including non-profit organizations, municipal leaders, local business owners, and post-secondary institutions. The insights gained from stakeholder engagement sessions also provided valuable feedback and helped inform government on regional affordability pressures across the province.

1.2 Work with partner ministries to educate and inform Albertans about strategies to address ongoing cost-of-living expenses associated with utilities, housing, insurance, food, and other core household expenses.

The Ministry worked across various departments to help Albertans save money and address financial challenges by contributing to key initiatives related to essential needs. Coordination efforts were guided by tracking indicators like the Consumer Price Index to measure affordability in Alberta.

Initiatives led by Affordability and Utilities

Affordability Framework: Established a framework to help government ministries understand and evaluate the impact of their programs and policies on affordability for various Alberta households.

- **Affordable Advice for Life Website:** In May 2024, the government launched a website that offers comprehensive information, guidance, and resources to support Albertans in overcoming challenges related to inflation, housing costs, food security, and other financial difficulties associated with high living expenses.

Cross Ministry Initiatives Supported by Affordability and Utilities

- Initiatives led by the Ministry of Seniors, Community and Social Services included the Affordable and Attainable Housing Action Plan to improve housing affordability, providing funding for food banks and low-income transit passes (\$26 million), and offering support for adopters, social sector workers (\$106 million), caregivers (\$4 million), seniors (\$520 million), and administrators. Affordability and Utilities

coordinated with the ministry on these efforts through collaboration on stakeholder engagement and data analysis. Detailed outcomes can be reviewed in the Ministry of Seniors, Community and Social Services annual report.

- Initiatives led by Children and Family Services and Jobs, Economy and Trade contributed to improving child care affordability in Alberta, particularly the indexation of the Alberta Child and Family Benefit program (\$36 million) led by Children and Family Services, and the Affordability Grant for affordable childcare in the province (\$1.5 billion) led by Jobs, Economy and Trade. Affordability and Utilities coordinated measurement of affordability impacts with these departments and shared feedback from stakeholder engagements. Detailed outcomes can be reviewed in the Ministry of Jobs, Economy and Trade, and Ministry of Children and Family Services respective annual reports.
- Initiatives led by the Ministry of Service Alberta and Red Tape Reduction included incorporating affordability considerations into legislative proposals and tracking progress on items that improved affordability. Additionally, the Seniors' Discount Program, which provided seniors a 25 per cent discount on personal registry services, saved approximately one million Alberta seniors nearly \$20.5 million during 2024-25. Affordability and Utilities coordinated with the ministry on these efforts through consultation on program design.
- The Ministry of Treasury Board and Finance introduced two key affordability initiatives to make life more affordable for Albertans. They created a new eight per cent income tax bracket, which will save people up to \$750 in 2025. They also worked on a new auto insurance system called Care-First, which will save Albertans up to \$400 a year starting in 2027. Affordability and Utilities supported the policy development through stakeholder engagements for these changes.

Significant Results within Affordability and Utilities

- In response to stakeholders seeking further navigation of educational resources for Albertans and non-profit organizations, the department launched the Affordable Advice for Life Website (formerly Affordability Portal) in May 2024. The website was promoted weekly on the Ministry of Affordability and Utilities' social media accounts to increase website visits. The Affordable Advice for Life website QR codes were added to Utilities Consumer Advocate (UCA) tipsheets and distributed at their trade shows, events, and stakeholder engagements.
- The website attracted a total of 4,372 visits; 5,341 page views; 3,814 unique visitors, and 1,359 returning visitors in 2024-25. The Ministry of Affordability and Utilities continued to engage with key ministries and partners to inform key affordability educational resources on a regular basis.

alberta.ca/affordable-advice-for-life

1.3 Mediate disputes with utility providers for Alberta's electricity, natural gas, and water consumers through the Utilities Consumer Advocate.

The Utilities Consumer Advocate (UCA) played a crucial role in mediating disputes with utility providers for Alberta's electricity, natural gas, and water consumers. The UCA provided support to help customers make informed choices about their utility service providers. These services included investigating concerns raised by consumers and attempting to resolve their concerns through mediation with utility companies. The most common reasons for mediation were billing issues, late bills, concerns about billing and customer service, and disconnections for non-payment or non-application.

The UCA participated in the Alberta Utilities Commission's (AUC) Winter Utility Reconnection Project. The UCA was supplied with the names and contact information for Alberta consumers whose electricity and/or natural gas services were being disconnected at the beginning of the winter season. Multiple attempts were made to reach those individuals through phone calls and letters to assist in the reconnection process. This included providing information and advice, mediating payment arrangements, and connecting consumers with support programs, if required.

ucahelps@gov.ab.ca

310-4UCA (4822)

ucahelps.alberta.ca/gen

The UCA also supported the transition of the Regulated Rate Option (RRO) to the Rate of Last Resort (RoLR), which stabilized default rates and created financial stability for Albertans. The UCA encouraged consumers to explore their electricity options and take charge of their power bills, helping them avoid defaulting to the RoLR.

Significant Results

- The UCA, through evidence and arguments, was cited in 44 different AUC decisions during 2024-25, leading to a total of \$280 million in cost disallowances resulting in significant savings for Alberta consumers.
- The UCA website experienced significant engagement, with 1.3 million visits and 3.5 million sessions, indicating active user interaction across various pages. The Consumer Education Team conducted 67 engagement events and 16 webinars, where 669 consumers received resource packages and 353 attended the 1-hour Power Hour session. Additionally, a grant provided to the Empower Me program facilitated 98 multi-lingual community workshops, reaching 1,474 households.
- The RRO, the default electricity rate for consumers outside of utility consumer contracts, transitioned to the RoLR on January 1, 2025. [for more details, see [Key Objective 1.5](#) on page 18].
- The UCA mediation team provided timely and efficient dispute resolution between consumers and their utility providers. The UCA received 23,220 calls and 1,875 emails from consumers in fiscal 2024-25, resulting in 1,174 mediations by the UCA. These mediations required the UCA to contact the utility provider on behalf of the consumer to resolve a dispute.
- The UCA directly helped reconnect 63 households under the Winter Utility Reconnection Program. In total, between the UCA and participating utility retailers, 202 households were reconnected. This initiative served as a last line of consumer protection for households entering winter in Alberta without essential heat and power services.

1.4 Provide ongoing natural gas price stability for Albertans year-round through the Natural Gas Rebate Program.

The Natural Gas Rebate Program protects Albertans from high natural gas prices. The program ensures that eligible consumers connected to the natural gas system receive automatic rebates on their utility bills if monthly default prices rise above an established threshold. Consumers who are not connected to the natural gas distribution system and who consume eligible alternative heating fuels are also eligible to receive equivalent rebates for non-connected gas, propane, heating oil, and kerosene.

The rebate program shields consumers from price spikes in heating costs, providing essential consumer protection for more than 1.6 million Alberta homes, farms, and businesses.

Significant Results

- The Department of Affordability and Utilities successfully launched the Natural Gas Rebate Program's online application portals to streamline the administration of rebates. Albertans connected to the natural gas utility system will receive the rebate automatically on their bill, while Albertans who use alternative heating fuels will be able to apply for the rebates online. To date, monthly natural gas prices have remained below the program's threshold, so the rebate has not been triggered. However, the Natural Gas Rebate Program remains a key part of the government's broader approach to provide stability and peace of mind around heating costs for Albertans.

1.5 Address the cost of utility payments for Albertans by:

- Exploring how to design rates for electricity and natural gas to best serve Albertans;
- Protecting consumers from spikes in electricity and natural gas prices;
- Identifying opportunities to reduce transmission, distribution, and other costs;
- Educating Albertans about alternatives to the Regulated Rate Option; and
- Advocating for consumers through interventions in AUC proceedings by the UCA.

Detailed Initiatives and Actions for Key Objective 1.5

Exploring how to design rates for electricity and natural gas to best serve Albertans:

- RoLR Transition: Effective January 1, 2025, the default electricity rate in Alberta transitioned from the RRO to the RoLR:
 - The rate is fixed for two-year terms with a 10 per cent rate adjustment cap between terms.
 - These changes protect Albertans who may not be able to sign a competitive contract from sudden, volatile price spikes. The RoLR is set for most consumers at approximately 12.03 cents/kWh until December 2027.
 - Consumer awareness of the default rate is improved through updates to the RoLR Providers' Terms and Conditions and RoLR bills, which inform consumers about the nature of the RoLR along with information about retail choices.
 - The UCA performs rate confirmation notifications with RoLR consumers every 90 days, ensuring they are aware of the rate and that market alternatives to the default rate are available to them.

Protecting consumers from utility fee spikes:

- Municipal Fees and Local Access Fees: *The Utilities Affordability Statutes Amendment Act, 2024* was proclaimed on June 20, 2024. The act prohibits the use of variable market electricity or natural gas rates when setting local access fees and franchise fees.
 - These changes protect utility consumers by ensuring stability, predictability, and fairness in the calculation of these fees, while balancing the need for municipalities to meet their budgetary requirements.

Identifying opportunities to reduce transmission, distribution, and other costs:

- Transmission Policy Reform: In response to the growing frustrations of Albertans about the high costs of electricity, the Government of Alberta has undertaken a wholesale reform of Alberta's transmission policies. The Ministry of Affordability and Utilities has three primary objectives for Alberta's transmission policy:

- Affordability: Transmission policy design should support the lowest overall delivered cost of electricity balanced with maintaining a strong investment climate and incorporate locational signals sufficient to maximize the use of existing infrastructure.
- Reliability: Transmission policy design should not undermine long-term supply adequacy and negatively affect the reliability and safety of the grid.
- Decarbonization: Transmission policy design should enable a carbon-neutral electricity sector by 2050.

Educating Albertans about alternatives to the Regulated Rate Option:

- Encouraged consumers to explore their electricity options. [for more details, see [Key Objective 1.5](#) on page 18].

Advocating for consumers through interventions in AUC proceedings by the UCA:

- UCA Interventions in AUC Rate Proceedings: The UCA advocates for safe, reliable, cost-effective utility service that meets the needs of consumers today and tomorrow.
 - The AUC reviews hundreds of applications each year through regulatory proceedings and the UCA intervenes in dozens of proceedings annually to ensure affordable rates and reliable services for utility consumers. Most of the AUC proceedings where the UCA intervenes address service quality, terms and conditions, or rates for consumers.

Significant Results

- RoLR Transition: The transition to the RoLR provided stable electricity rates for consumers, protecting them from sudden price spikes and ensuring they are informed about their options.
- Municipal Fees and Local Access Fees: The *Utilities Affordability Statutes Amendment Act, 2024* ensured that local access fees and franchise fees are calculated fairly, providing stability and predictability for utility consumers.
- Transmission Policy Reform: Policies were developed and announced in 2024 that will move Alberta to an optimal transmission planning framework where infrastructure will only be built when necessary for reliability reasons or when the benefits outweigh the costs. Changes will also, once implemented, require new generators to contribute to transmission costs, and allow ancillary service costs to be assigned according to cost-causation principles. Transmission policy reform will support a carbon-neutral electricity system by 2050.
- UCA Interventions in AUC Rate Proceedings: The UCA intervened in 53 AUC proceedings; 44 of which were concluded and resulted in \$280 million in unjustified expenses from being downloaded to consumers. [for more details, see [Key Objective 1.3](#) on page 16].

Forward Looking Information

As geopolitical and economic changes affect affordability and the cost of living for Albertans, Affordability and Utilities will continue working with partner ministries and stakeholders to address these challenges and pursue policy solutions to improve affordability for Albertans. The Ministry will continue to engage stakeholders to gather feedback and improve our initiatives. The UCA will continue helping Albertans by mediating disputes with utility providers, participating in the Winter Utility Reconnection Project, and running awareness campaigns to inform consumers about their utility options.

Performance Metrics Results Analysis

Performance Measure 1.a: Albertans’ engagement with online affordability resources

This measure evaluates the effectiveness of Affordability and Utilities’ online affordability initiatives by measuring the combined website visitation to Affordability and Utilities web resources (Affordable Advice for Life, and Utilities Consumer Advocate) educating Albertans about affordability.

The following table includes site visits from both the UCA website and the Affordable Advice for Life website.

Table 1: Website visits to Government’s affordability resources.

Website visits (UCA / Affordable Advice for Life)				2024-25 Target	2024-25 Actual
2020-21	2021-22	2022-23	2023-24		
280,391	685,267	815,745	1,542,889	900,000	1,324,147 / 5,341

For 2024-25, the Ministry of Affordability and Utilities targeted 900,000 visits to its various online resources.

In 2024-25, the UCA had 1,324,147 visits to its website, which exceeded the overall target for the ministry’s various online resources. During the year, the UCA was engaged in the transition from the RRO to the RoLR. The UCA launched a campaign intending to inform Albertans of this change and encourage consumers to visit the UCA website to explore options available for competitive rates. The UCA campaign informed Albertans about options to make their electricity bill more affordable.

While the online visits exceeded targets, the number of visits to the UCA website slightly dropped compared to 2023-24. This is partly due to the RoLR stabilizing electricity prices at a lower price in the winter of 2024-25 compared to the more volatile pricing in the winter of 2023-24, which led to reduced site traffic from concerned consumers.

Also in 2024-25, the Ministry of Affordability and Utilities launched the Affordable Advice for Life Website. The website provides additional affordability information to Albertans. In its first year of operation, the website garnered 5,341 page views from Albertans. The addition of the Affordable Advice for Life website provided Albertans with more resources and information to help mitigate cost-of-living concerns.

Performance Indicator 1.b: Alberta annual inflation rate compared to national level

This indicator compares Alberta's annual inflation rate on items such as food, energy, and shelter with the national inflation rate for the same items. As referenced on page 42 of Alberta's Fiscal Plan 2024-27, the expectation is that housing prices and rent will continue to experience upward pressures in the short term due to supply issues. With record migration to the province, the Government has prioritized increasing housing supply to address long-term inflation caused by demand pressures. As part of this work, Affordability and Utilities collaborated with Seniors, Community and Social Services on the creation of more affordable and attainable housing.

Over the next few years, headline inflation is expected to gradually ease to two percent, aligning with the Bank of Canada's inflation target of two per cent. Record interprovincial migration has occurred, indicating that Alberta is one of the most affordable provinces in the country. This affordability is due to relatively low housing prices in major cities and consistently having the highest average weekly earnings in the country. Government continues to reduce red tape and enable a low-tax environment with various policy measures to mitigate the effects of inflation for Albertans.

Affordability and Utilities is providing educational resources to Albertans through the UCA and Affordable Advice for Life websites, as shown in Table 1, which help Albertans make informed choices about their expenditures on electricity and other costs, thereby helping mitigate inflationary pressures.

Table 2: Alberta inflation rate on food, energy, and shelter compared to the national average.

		2020	2021	2022	2023	2024
Alberta / Canada (Year-over-Year Percentage Change)	All Items	1.1 / 0.7	3.2 / 3.4	6.5 / 6.8	3.3 / 3.9	2.9 / 2.4
	Food	2.6 / 2.3	2.7 / 2.5	8.3 / 8.9	7.2 / 7.5	3.3 / 2.7
	Energy	-3.7 / -7.6	26.0 / 18.9	20.9 / 22.6	-6.3 / -4.2	1.9 / -0.6
	Shelter	1.3 / 1.7	3.2 / 3.9	6.6 / 6.9	6.6 / 5.6	7.0 / 5.7

Outcome Two: Alberta's utility system is safe and reliable while supporting an affordable life for Albertans

Alberta's utility system faces pressure from the federal government to achieve a carbon-neutral power grid while continuing to ensure that it remains safe, reliable and affordable. The Ministry of Affordability and Utilities will support an affordable, safe, and reliable utility system that attracts investment, supports job creation, and reflects the interests of Albertans and Alberta businesses.

During the 2024-25 fiscal year, the Ministry of Affordability and Utilities focused on ensuring that Alberta's utility system remains safe, reliable, affordable, and sustainable for all Albertans. Key initiatives included:

- Supporting rural infrastructure through the Rural Gas and Rural Electric programs;
- Providing grants for essential services like electricity and natural gas in rural areas;
- Regulating investor-owned utilities to ensure safe and reliable services at reasonable rates through the Alberta Utilities Commission (AUC);
- Implementing Rate of Last Resort to stabilize default electricity rates [for more details, see [Key Objective 1.5](#) on page 18];
- Facilitating the integration of distributed energy resources, such as rooftop solar and battery storage; and
- Advancing Alberta's priorities in nuclear energy development.

Key Objectives

2.1 Review Affordability and Utilities' agencies to ensure their missions and operations align with the government's goal to ensure an affordable, safe, and reliable utility system for Albertans.

Power and Natural Gas Consumers' Panel (PNGCP) Mandate Review

The PNGCP is an advisory agency responsible for providing advice and guidance regarding current and emerging energy consumer issues.

The Department of Affordability and Utilities conducted a comprehensive review of the PNGCP, in accordance with Section 19 of the *Alberta Public Agencies Governance Act*. The review focused on assessing the panel's operations, policies, and mission to ensure alignment with the government's goal of achieving a reliable and affordable power grid by 2050.

Significant Results

- The results of the PNGCP's review reaffirmed the panel's unique role and contributions to energy consumer advocacy.
- The review noted the contributions the panel made regarding issues including local access and franchise fees and the RoLR.
- Results from the review concluded that the panel should be maintained and that its capacity to engage with Albertans should be strengthened.

2.2 Ensure the safe, reliable, and responsible development and operation of the electric and natural gas system to support Alberta's economic growth.

Electric Energy Land Use and Visual Assessment Regulation

Government of Alberta has taken significant steps to address the rapid pace of renewable energy development. On December 6, 2024, new regulatory requirements for renewable energy development were announced under the Alberta Utilities Commission Act.

The new regulatory requirements followed a prior government direction in early 2024 regarding wind and solar development stemming from the AUC inquiry into the economic and efficient development of renewable electricity generation announced on August 3, 2023.

Significant Results

- *The Electric Energy Land Use and Visual Assessment Regulation* (EELUVAR) ensures demonstrable coexistence between renewables and agriculture for the development of wind and solar projects on Land Suitability Rating System Class 1 and 2 lands, as well as Class 3 lands in municipalities without Class 1 or 2 lands. The regulation also establishes specific guidelines to prevent projects from impacting pristine viewscales, by prohibiting wind development in buffer zones, while requiring other electricity developments in visual impact assessment zones to complete a visual impact assessment as part of their application.
- Amendments to *Activities Designation Regulation* and *Conservation and Reclamation Regulation* are being made by the Ministry of Environment and Protected Areas to provide clarity for renewable energy developers on new and existing environmental protections and create consistent reclamation requirements across all forms of renewable energy operations.
- These measures reflect Alberta's commitment to balancing renewable energy development with environmental and agricultural considerations, ensuring sustainable growth and preserving the province's natural landscapes.

Alberta Utilities Commission

The AUC regulates investor-owned electric, natural gas, and water utilities, as well as certain municipally owned electricity utilities. The AUC focused on implementing government policy following the AUC inquiry into the ongoing economic, orderly, and efficient development of renewable energy generation and storage in Alberta.

Albertans have benefited from the AUC's work and programs by receiving safe and reliable utility services at just and reasonable rates. The AUC's ongoing efficiency efforts have also lowered both the cost and burden of regulation, further benefiting the public. This includes enhanced information requirements, the impact of power plant development on viewscales, mandatory reclamation security requirements, municipal participation and cost recovery rights, soil field verification, an agriculture-first approach, appropriate setbacks of renewable infrastructure, and other matters.

Significant Results

- EELUVAR: This regulation restricts the AUC's ability to issue approvals for generation and storage projects in certain circumstances and will protect high-quality agricultural land and valued viewscales. The AUC is responsible for implementation of the policy direction found in the EELUVAR and continues to update its rules and processes to align with the regulation.

- This initiative prompted a review of AUC Rule 007, which governs applications for power plants, substations, transmission lines, industrial systems designations, hydro developments, and gas utility pipelines. Following stakeholder and Indigenous consultation, the AUC released proposed changes for feedback on March 24, 2025, with the intent to finalize amendments later in the year.
- The AUC has continued its work on approving facility applications. For these applications, the AUC operates within legislated standards that set the time allocated for applications to be approved. The AUC processed 69 facility applications, meeting the 180-day timeframe for processing. The agency continues its work to improve its timeliness and efficiency of processing applications to meet its standard and reduce the regulatory burden for industry.
- The AUC also supported the implementation of the RoLR [for more details, see [Key Objective 1.5](#) on page 18].

Restructured Energy Market

As Alberta's electricity system transitions from steady baseload generation to incorporating more intermittent renewable sources like wind and solar, the province's market policies must evolve to address the challenges of maintaining reliability and affordability. The Restructured Energy Market (REM) aims to ensure a stable, secure, and cost-effective supply of electricity for Albertans by adapting market rules to modern generation realities. The Alberta Electric System Operator (AESO) is finalizing the market design through extensive stakeholder engagement and written feedback to best serve long-term reliability, consumer interests, and efficient market operation.

Significant Results

In early 2024, the Minister requested the AESO to proceed with the technical design of the REM. Further requests in July and December 2024 included:

- Introduction of a mandatory day-ahead market.
- Allowing energy prices to be determined by strategic offers from market participants, with mitigation measures to limit excessive market power.
- Maintaining a province-wide uniform price for electricity.
- Developing a market-based mechanism to determine which generators get dispatched.
- Continuing robust stakeholder engagement on the development of ISO rules guiding generator operation of REM.
- Collaborating with the AUC to implement five-minute intervals for transmission-connected loads, generation, and interties by 2032, and for all loads by 2040.

These initiatives mark significant progress in adapting Alberta's electricity market to modern generation realities, ensuring long-term reliability and affordability for consumers. While the listed results speak to direction in the 2024-25 fiscal year, the REM technical design has continued to evolve, as the AESO and the government continue to consult with stakeholders as part of the market design. Further direction to the AESO is expected in 2025-26 as the design is finalized.

Rural Utilities Grant Programs and Allowances:

Rural Gas Program

The Rural Gas Program enables rural gas distributors, through the administration of grants to provide gas services to sparsely populated areas that are otherwise uneconomical to serve and equal level as Alberta's high-

density urban and industrial areas. Distributors apply on behalf of their customers and use the grants to build distribution services or upgrade aging infrastructure.

FedGas, (formerly known as Federation of Alberta Gas Co-ops), administers program grants on behalf of the Ministry of Affordability and Utilities. The amount the program grants to each applicant is based on the applicant's construction activities from the prior year. As a result, consumers receive lower utility bills as the grant enables the construction of the infrastructure needed to make gas more accessible.

The ministry tracks the number of new rural gas services and kilometers of distribution pipeline installed across the province. Demand for rural utility services dictates the number of services installed each year, therefore the ministry does not set yearly construction targets. This demand-driven approach explains why installation rates vary from year to year. Approximately 50 rural gas distribution utilities benefit from the program each year.

Households in Alberta that currently use propane or heating oil to heat their homes benefit the most from new installations built by the Rural Gas Program. New installations allow for more affordable natural gas to be provided to homes. The expansion of natural gas infrastructure in northern and western Alberta helps Albertans rely less on propane and heating oils and lower the cost of heating for rural Albertans, and at the same time reduces the number of Albertans applying for Remote Area Heating Allowance (RAHA).

Significant Results

- In the 2023-24³ construction year, the program helped expand natural gas to Alberta's remote communities and installed a total of 2,900 gas services and 730 kilometers of pipeline through the three recipients of the Rural Gas Program Grant: ATCO Gas, Apex Utilities Inc., and FedGas.

Rural Electric Program

Since the 1940s, rural electrification associations (REAs) have been an integral part in the social and economic development of rural areas throughout the province. REAs are responsible for distributing electricity to power homes and businesses in rural Alberta. Through the Rural Electric Grant Program (REGP), the Ministry of Affordability and Utilities provides grants to support the construction of electric services, such as wires, poles, and transformers on Alberta's farms and ranches. Through this program, the Ministry of Affordability and Utilities helps electricity distributors provide services to sparsely populated areas where servicing these areas would be uneconomical, at the same level as high-density urban areas.

The Alberta Federation of Rural Electrification Associations Ltd (AFREA) has administered the REGP on behalf of Government since 2013. The criteria used to assess grant applications has been developed in collaboration with the Government. REGP assists farmers financially to access a basic, essential service at a reasonable cost and aids in the diversification of Alberta's rural economy. It also provides partial equity with other Albertans living in urban areas that benefit from lower hook-up costs and power rates.

Significant Results

- For the 2023-24 reporting year, funding under the program continued to be available for the reimbursement of costs related to eligible projects for applicants who are actively farming.
- AFREA determines eligibility for and processes the grants.
- The program awards grants of up to \$5,250 for each service. The program received 163 applications and paid \$664,000 in grants during the year.
- On average, each grant recipient received \$4,074.

³ Last full dataset available before publication.

- Relative to the previous years, the amount spent to build new electrical services has remained consistent, indicating that Alberta's rural electricity distribution infrastructure is continuously growing and reaching more Albertans.

Table 3: Rural Electric Grant Program annual applicants.

	2019-20	2020-21	2021-22	2022-23	2023-24
Number of Applicants	142	127	157	173	163
Average grant amount	\$3,915	\$4,129	\$4,044	\$4,258	\$4,074

Table 3 shows results to the end of 2023-24 due, in part, to AFREA finalizing numbers for this program. Construction season extends through the publication period of this Annual Report. Results for 2024-25 will be reported in the 2025-26 reporting period.

Rural Water Program

There are approximately 140 water utility cooperatives in Alberta, many of which were formed in the 1960s and 1970s to provide domestic water and wastewater services to their local areas. Recognizing the need for additional support, Affordability and Utilities approved new funding in 2024-25 for an ongoing annual grant to assist water co-operatives with their challenges.

Significant Results

- Rural Water Study and Funding Initiatives: Government approved new funding in 2024-25 for an ongoing annual grant to assist water co-ops with the challenges they are facing, \$500,000 in 2024-25 and \$500,000 in 2025-26.
- The annual grant funding of \$500,000 per year for the Rural Water Program will establish the function of Alberta Federation of Water Co-ops (AFRWC) going forward, with the future goal of providing water co-operatives with direct funding for new infrastructure.
- Results from the 2024-25 grant will be reported in 2025-26.

Allowances:

Remote Area Heating Allowance (RAHA)

The RAHA program assists rural Albertans with heating costs in areas lacking economical access to natural-gas services. The program primarily benefits residents:

- In rural and remote areas;
- Indigenous communities (accounting for about 65 per cent of claims); and
- Farmers who need substantial volumes of natural gas for grain drying.

Alberta's remote rural communities, particularly in northern and western regions, face unique challenges in using natural gas at levels comparable to urban areas due to factors like:

- Low populations;
- Expanding farm sizes; and
- Economic diversification efforts, which add complexity to the situation.

Despite the Rural Gas Program's expansion of natural gas services to over 80 per cent of rural Alberta, many residents, especially in northern Alberta and Indigenous communities, still find supply and service uneconomical. Consequently, they resort to using costly fuels like propane and heating oil.

The RAHA program differs from the Natural Gas Rebate Program by primarily addressing spikes in fuel costs. Rebates are based on volumes established by the Heating Oil and Propane and Rebate Authorization Regulation, providing up to 18,185 litres of propane, 12,275 litres of heating oil, or a proportionate combination of both per calendar year. Rebates cover approximately 25 per cent of heating costs, up to a maximum equivalent of 450 gigajoules of natural gas.

Applicants typically learn about the program through local gas distributors, propane suppliers, or by word of mouth. The program is consumer-driven, with no specific targets set by Affordability and Utilities. The government tracks the annual number of successful applicants and the value of claims across four eligibility categories: primary residence, commercial, not-for-profit, and grain dryers. Winter weather conditions influence program expenditures, with cold winters leading to increased applications and higher rebate values. Similarly, wet fall harvest conditions heighten demand for grain drying.

Significant Results

- The total amount of rebates paid out to Albertans was \$918,500 from 1,665 claims. On average, applicants received a rebate of \$552.

Table 4: Remote Area Heating Allowance annual results for the past five years.

	2020-21	2021-22	2022-23	2023-24	2024-25
Number of approved applications	2,484	1,984	2,012	2,032	1,665
Average grant amount	\$557	\$525	\$604	\$583	\$552

Table 4 shows past results of the RAHA. For 2024-25, the total amount rebates paid out Albertans was \$918,500 from 1,665 claims, which was distributed to rural Albertans to lower the cost of heating in areas without easy access to natural gas services. On average, applicants received a rebate of \$552. Relative to previous years, the total amount paid out has remained consistent signifying the demand for the relief the allowance brings to Albertans.

Table 5: 2024-25 Rebate application and payment summary.

	Primary Residence	Commercial	Not-for-Profit	Grain Dryers	Total
Number of approved applications	1,468	120	43	34	1,665
Average grant amount	\$436	\$1,546	\$1,551	\$763	\$552
Total rebate paid	\$640,316	\$185,550	\$66,712	\$25,927	\$918,500

Table 5 provides an overview of the type of applicants who used RAHA. A large majority of applications in 2024-25 came from primary residences accounting for \$640,316 (70 per cent) of the \$918,500 of the total rebates distributed during the year. The remaining balance was split between commercial, not-for-profit and grain dryers.

2.3 Streamline legislative requirements and regulatory processes for Alberta's utilities sector to better attract investment and encourage more affordable utilities for Albertans.

Hydrogen Blending

Alberta has identified hydrogen as a major opportunity for the province through Alberta's Natural Gas Vision and Strategy. The provincial Hydrogen Roadmap, led by the Ministry of Energy and Minerals, underscores Alberta's long-term commitment to hydrogen as a fuel source, emphasizing the need for legislative amendments to incorporate hydrogen blending into the natural gas distribution system.

ATCO operates a hydrogen blending project in Fort Saskatchewan, blending hydrogen at five per cent volume into the natural gas distribution system, serving 2,100 customers. This project is intended to demonstrate the viability of hydrogen blending for residential heating.

Significant Results

- Legislative Amendments: Government set policy direction to amend the *Gas Utilities Act* and *Gas Distribution Act* to enable hydrogen blending into the natural gas utility system. These amendments are in alignment with Alberta's Hydrogen Roadmap.
- Necessary regulations to ensure the implementation of this policy will be developed. These regulations will address key objectives, such as obtaining customer consent for hydrogen projects, establishing clear requirements for regulatory applications, and setting safe limits for hydrogen blending.
- These measures aim to secure the observance of safe and efficient practices in the public interest in the implementation of hydrogen blending.

Nuclear Energy Mandate

In October 2024, an additional mandate letter was issued for the Minister of Affordability and Utilities, assigning responsibility for the legislative, regulatory, and policy development of nuclear energy in Alberta, previously led by the Ministry of Energy and Minerals. This includes conducting public and industry-wide consultations, developing a nuclear regulatory framework, and coordinating efforts with other provinces and the federal government to advance small modular reactor technologies.

Significant Results

- Leveraging resources internal to the Government of Alberta, the department has established a cross-ministry working group to enable Affordability and Utilities' mandate of developing policy, legislative and regulatory frameworks for small modular reactors.
- Since receiving the nuclear energy mandate, Affordability and Utilities has worked to develop a consultation strategy for engaging Albertans on opportunities in nuclear energy for execution in 2025-26.

2.4 Develop policies to enable the integration of distributed energy resources (such as roof-top solar, battery storage, energy efficient technologies, etc.) to inform and support Albertans to manage their energy costs and consumption.

Alberta is committed to developing policies that enable the integration of distributed energy resources, such as rooftop solar, battery storage, and energy-efficient technologies, to help Albertans manage their energy costs and consumption. The *Electricity Statutes (Modernizing Alberta's Electricity Grid) Amendment Act*, proclaimed in March 2024, amends the *Electric Utilities Act* to clarify treatment of energy storage resources and expand the definition of "Distributed Generation," supporting the government's goal of a carbon-neutral electricity grid by 2050.

Significant Results

- Clarification on Energy Storage and Distributed Generation: The Act provided increased clarity on energy storage resources and expanded the definition of “Distributed Generation,” which was a first step towards enabling the integration of distributed energy resources.
- Affordability and Utilities largely pursued policy work in the retail, market and transmission spaces, which will better enable a more defined framework on energy storage and distributed generation policy exploration in 2025-26 and beyond.

Forward Looking

The Ministry of Affordability and Utilities is dedicated to ensuring Alberta’s utility system is safe, reliable, and affordable. The Ministry will continue to support rural infrastructure by providing grants for essential services like electricity and natural gas. Additionally, the Ministry will continue to explore the development of policies that will provide clear guidance to industry and encourage consistent electricity distribution rates across the province. Efforts will also focus on developing and implementing the regulatory framework for blending hydrogen into the natural gas system and advancing nuclear energy development. Furthermore, the Ministry will develop the policies and regulations necessary for attracting data centres to the province while maintaining an affordable, safe and reliable electricity system.

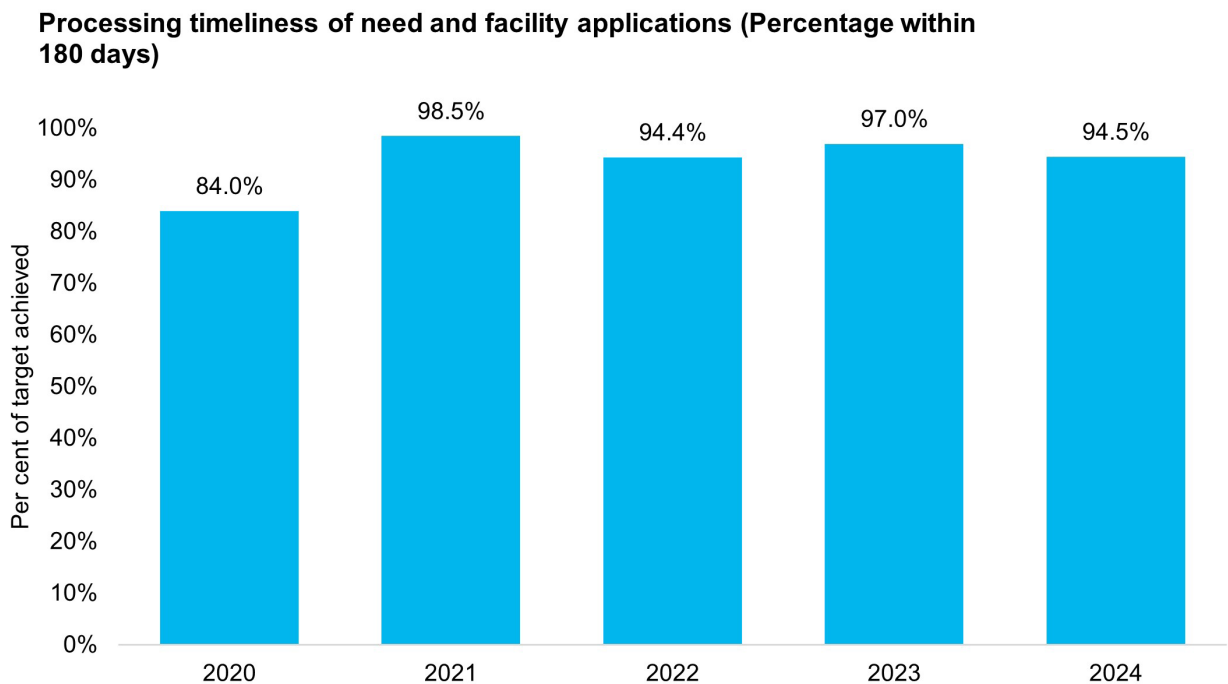
Performance Metrics Results Analysis

Performance Measure 2.a: Timeliness of need and facility application processing (AUC)

Performance Measure 2.a monitors the AUC’s performance at meeting the legislated 180-day review timeline for needs and facility applications. The statutory timeline begins when the AUC deems an application complete. The target for the AUC is 100 per cent.

In 2024, the AUC met this statutory timeline in 69 cases, achieving a compliance rate of 94.5 per cent. Facilities applications that did not meet the 180-day target were delayed primarily due to the pause in application approvals in 2024, through the Generation Approvals Pause Regulation, or due to proponents requiring additional time to fully complete their applications and ensure due process. Further, as compared to 2023, the AUC experienced a 25 per cent increase in overall applications.

The following chart showcases the percentage of AUC need and facility applications that met the statutory 180-day timeline



Source: AUC

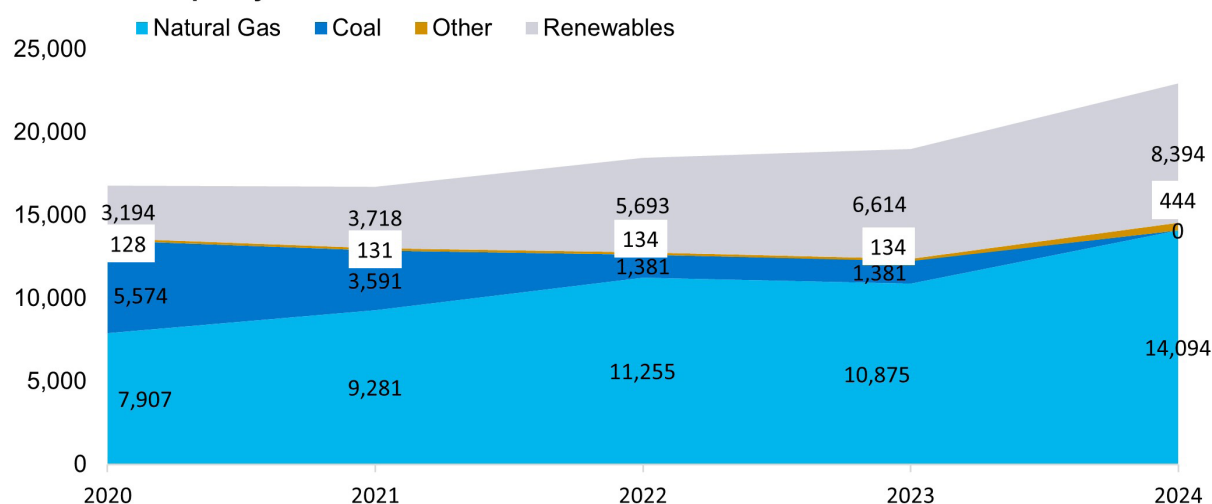
Performance Indicator 2.b: Generation and storage capacity (in megawatts)

This indicator measures the amount of generating capacity of electricity by source for Alberta as a whole and storage capacity of the entire system. The types of generation provided include natural gas, coal, renewables (hydro, wind, solar, and biomass or biogas), and others. The indicator showcases Alberta's goal of achieving a carbon-neutral electricity grid by 2050 by moving away from carbon-intensive sources such as coal to cleaner and renewable sources.

Generation Capacity

The following chart breakdowns the amount generating capacity available in Alberta's electrical grid by generation source.

Generation Capacity



Natural gas continues to be Alberta's primary source of electricity generation, accounting for 14,094 Megawatts (MW) or 61.5 per cent of installed capacity in 2024.^{4 5}

In 2024, Alberta saw a 20 per cent increase in renewable generating capacity, with renewables accounting for 8,394 MW of Alberta's installed capacity. This represents an increase of 1,369 MW from 2023 and constitutes billions of dollars of industry investment into renewable projects in 2024. Continued year-over-year increases reflect investor confidence in Alberta's power market and broader electricity policy framework. The increase was likely partially driven by higher-than-average wholesale power prices from 2021 to 2023. Additionally, 2024 represents the first year that coal is no longer a generating source in Alberta's electricity grid. The last operating coal unit went offline in June 2024. This represents the completion of Alberta's commitment to phasing out coal for more renewable and cleaner sources of electricity.

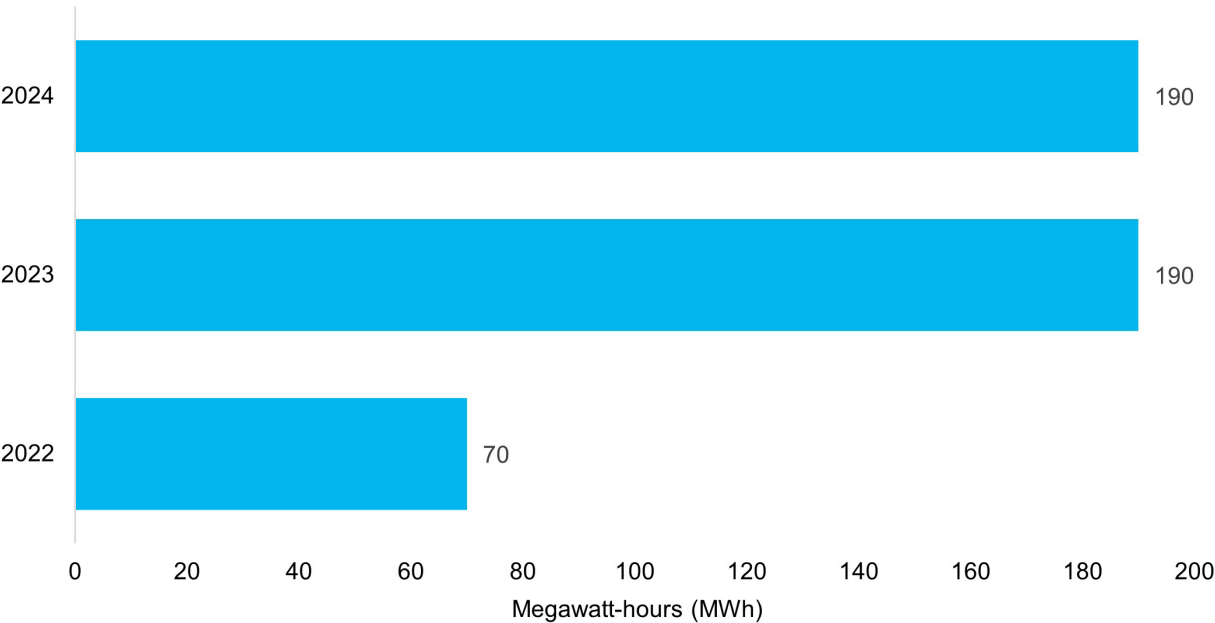
⁴ 2020-2023 data sourced from AUC

⁵ 2024 and onwards sourced from AESO

Storage Capacity

The following chart showcases the amount of energy storage available in Alberta’s electricity grid for the past three years.

Storage Capacity



In 2024, Alberta continued to have 190 MWh of storage capacity on the grid. The absence of growth in storage reflects broader cost and pricing dynamics in the market, with most storage resources providing ancillary services rather than energy. However, some storage moved through approvals in 2024 and as of early 2025 there were 378 megawatts of storage that met all requirements to construct.

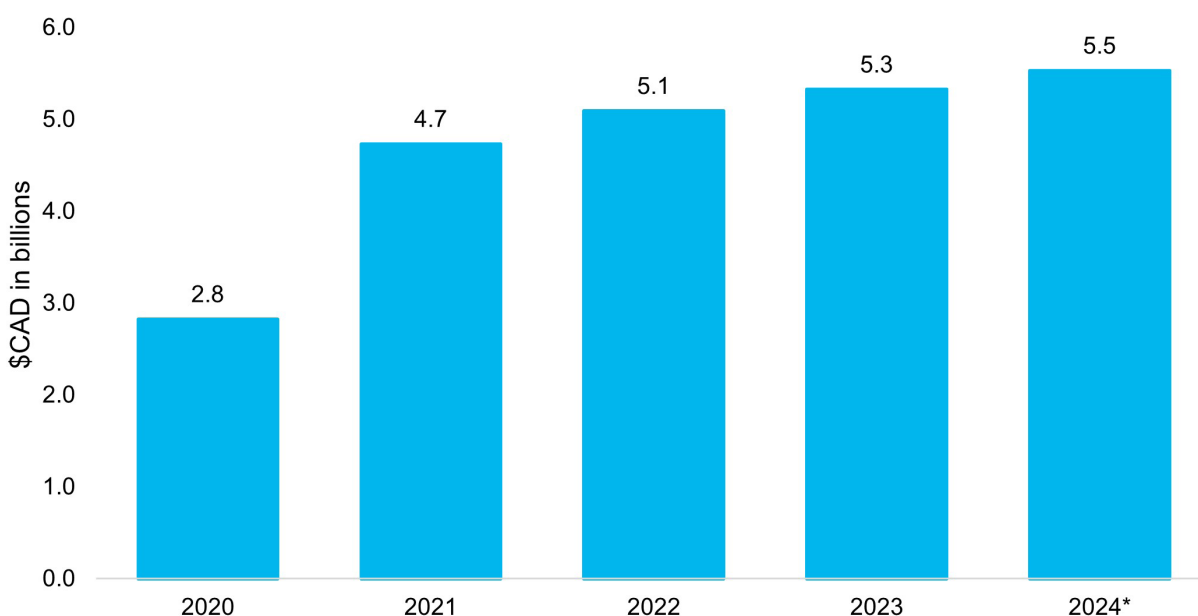
Performance Indicator 2.c: Investment in electricity generation, transmission, and distribution

This indicator measures the amount of money invested into Alberta for electricity generation, transmission and distribution.

The following chart showcases the amount of capital investment in electricity generation, transmission, and distribution over the past five years

Capital investment in electricity generation, transmission, and distribution

2020-2024, Alberta



Source: Statistics Canada

*The 2024 result is preliminary actual and will likely be revised in the future

Alberta has a deregulated, market-based generation system. Private investors determine which projects move forward in the province based on the expected return in the market. Increased investment in Alberta's electricity market signifies investors' confidence in the ability to achieve a positive return in the market. The Ministry of Affordability and Utilities plays a key role in fostering an investor friendly environment in continuing to build out the electricity grid.

Capital expenditures in electricity generation, transmission, and distribution continues to remain high in 2024. The continued and sustained increase in this metric is likely due to industry investment in generating capacity with net new generating capacity coming online every year. However, the increased year-over-year industry investment is a result of high investor confidence in Alberta's electricity system. Alberta's work on its broader electricity policy framework will enable investors to continue investing in Alberta's power and electricity system.

Performance Measure and Indicator Methodology

Performance Measure 1.a:

Albertans' engagement with online affordability resources

This measure evaluates the effectiveness of Affordability and Utilities' online affordability initiatives by measuring website visitation to Affordability and Utilities web resources (Affordability Portal, Utilities Consumer Advocate) educating Albertans about affordability opportunities.

Source: Department of Affordability and Utilities.

Performance Indicator 1.b:

Alberta annual inflation rate compared to national level

Using 2024 as an example, the annual inflation rate for a particular year for one of the three sub-indices (food, energy, shelter) is calculated by taking the average of the monthly Consumer Price Index for 2024 (there would be 12 of them), subtracting the average monthly Consumer Price Index for 2023, and then dividing that result by the average monthly Consumer Price Index for 2023.

Source: Consumer Price Index for Alberta and Canada, table 18-10-0005-01. The individual monthly indices for both Alberta and Canada can be found in table 18-10-0004-01.

Performance Measure 2.a:

Timeliness of need and facility application processing (Alberta Utilities Commission)

This metric tracks the Alberta Utilities Commission's ability to adhere to the statutory 180-day evaluation period for need and facility applications. The statutory timeline begins on the date when the Alberta Utilities Commission deems the application complete. The status of applications is tracked daily via the AUC's eFiling system.

Data for the preceding fiscal year becomes available in mid-April of the succeeding fiscal year.

Source: Alberta Utilities Commission.

Performance Measure 2.b:

Generation and storage capacity (in megawatts)

Generation Capacity

The Alberta Utilities Commission (AUC) publicly releases generation capacity data on its annual electricity data web page. This data is compiled and used by Affordability and Utilities for planning and forecasting, the Alberta Electric System Operator to compile its Long-term Outlook providing a supply-demand outlook, and by the AUC.

Some of the original data provided on the AUC's website was put into categories to summarize the capacity of various means of generating electricity. The category of "Renewables" includes the generation capacity of hydro, wind, solar, biogas and biomass. The category of "Other" includes oil, diesel, and waste heat.

Data is provided to the AUC annually and is restated.

Starting in 2024 onwards, generating capacity data are provided by Alberta Electric System Operator.

Generation capacity estimates are available on its Current Supply Demand Report which provides a report of the amount of generation capacity available in the grid. The report updates roughly every fifteen seconds. The

report provides a further breakdown of how much capacity a certain generating asset provides, in addition to showcasing a breakdown of how much electricity is provided by each generating source.

Source: Alberta Utilities Commission (2020-2023), Alberta Electric System Operator (2024).

Storage Capacity

The storage capacity estimates are provided by the Alberta Electric System Operator, on its Current Supply Demand Report which provides a report on the storage capacity available in the grid. The report provides a further breakdown of how much storage capacity a certain storage asset provides.

Source: Alberta Electric System Operator.

Performance Measure 2.c:

Investment in electricity generation, transmission, and distribution

The indicator reflects capital expenditures in Alberta's "Electric power generation, transmission, and distribution," which is identified under the North American Industry Classification System (NAICS) code 2211.

Generally, Statistics Canada updates the data required for this indicator annually. Statistics Canada releases preliminary actuals for the most recent year and actuals for the prior year. The Government of Alberta obtained statistics with the requested breakdown from Statistics Canada in February 2025.

Source: Statistics Canada.

Financial Information

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Reporting Entity and Method Consolidation

The financial information is prepared in accordance with government's stated accounting policies, which are based on Canadian Public Sector Accounting Standards.

The reporting entity is the ministry for which the Minister is accountable. The accounts of the ministry, which includes the department and the entities making up the ministry, are consolidated using the line-by-line method, except those designated as government business enterprises (GBEs).

Under this method, accounting policies of the consolidated entities are adjusted to conform to those of the government and the results of each line item in their financial statements (revenue, expense, assets, and liabilities) are included in government's results. Revenue and expense, capital, investing and financing transactions and related asset and liability balances between the consolidated entities have been eliminated.

GBEs are accounted for on a modified equity basis, with the equity being computed in accordance with the accounting standards applicable to those entities. Under the modified equity method, the accounting policies of the GBEs are not adjusted to conform to those of the government. Inter-entity revenue and expense transactions and related asset and liability balances are not eliminated.

A list of the individual entities making up the ministry are shown on the "Management's Responsibility for Reporting" statement included in this annual report.

Ministry Financial Highlights

Statement of Revenues and Expenses (Unaudited)

Year ended March 31, 2025

Affordability and Utilities

Statement of Revenues and Expenses

For the year ending March 31, 2025

(in thousands)

	2025		2024	Change from	
	Budget	Actual	Actual	Budget	2024 Actual
Revenues					
Investment Income	\$ 400	\$ 724	\$ 860	\$ 324	\$ (136)
Net Income from Balancing Pool	64,510	\$ 50,137	160,460	\$ (14,373)	\$ (110,323)
Industry Levies and Licenses	33,015	\$ 31,920	30,675	(1,095)	1,245
Other Revenue	118,065	\$ 76,629	76,637	(41,436)	(8)
Ministry total revenues	215,990	159,410	268,632	(56,580)	(109,222)
Inter-ministry consolidation adjustments	-	(718)	(854)	(718)	136
Adjusted ministry total	215,990	158,693	267,778	(57,297)	(109,085)
Expenses - Directly Incurred					
Ministry Support Services	4,851	5,404	4,033	553	1,371
Affordability and Utilities	22,343	23,746	19,197	1,403	4,549
Utility Rebate and Grant Programs	1,700	1,554	51,622	(146)	(50,068)
Climate Change	28,966	69,687	20,412	40,721	49,275
Utilities Regulation	34,280	32,961	31,692	(1,319)	1,269
Ministry total expenses	92,140	133,352	126,956	41,212	6,396
Inter-ministry consolidation adjustments	-	(155)	(167)	(155)	13
Adjusted ministry total	92,140	133,197	126,789	41,057	6,409
Annual surplus (Deficit)	123,850	25,495	140,989	(98,355)	(115,493)

Revenue and Expense Highlights

Revenues

Total revenues for the Ministry of Affordability and Utilities in 2024-25 were \$158.7 million. This figure is \$57.3 million lower than the budgeted amount, and \$109.1 million less than revenue in 2023-24.

The breakdown of the Ministry's 2024-25 revenues is as follows:

- **Investment Income** - The Alberta Utilities Commission (AUC) earned \$724,000 in interest on investments, exceeding the budget, but less than the prior year due to fluctuating interest rates.
- **Income From Government Business Enterprises** – \$50.1 million of revenue from the Balancing Pool (BP), which includes BP operations and Payments in Lieu of Taxes (PILOT) from municipal entities. This revenue was \$14.4 million less than budget and \$110.3 million less than the prior year. The decrease was primarily due a one-time negotiated Balancing Pool settlement of \$43.6 million with TransAlta Utilities received in the prior year and an \$11.4 million write down in the value of emission credit to align with market valuation. Additionally, the BP recorded a reduction in revenues from customers allocation and PILOT revenue received from municipal entities due to decline in power market prices.
- **Industry Levies and Licenses** – AUC collected \$31.9 million in levies and licenses from the utilities industry to finance its operations. This amount was \$1.1 million less than budgeted but \$1.2 million higher than the prior year.
- **Other Revenue** - Other revenue, which includes the Renewable Electricity Program (REP) revenue, fundraising and donations, fines, penalties, and other contributions, totaled \$76.6 million. This was \$41.4 million less than budgeted and was comparable to the revenue generated in the prior year. These variances are primarily due to decreases in REP revenue as electricity prices declined below contracted strike prices, resulting in payouts (expenses), rather than revenue received. These decreases were offset by fine revenue, primarily a \$32.7 million penalty levied against a market participant by AUC.

Expenses

The Ministry's total expenses for 2024-25 totaled \$133.2 million, which is \$41.1 million higher than budgeted and \$6.4 million higher than the expenses for the previous year.

The breakdown of the Ministry's 2024-25 expenses is as follows:

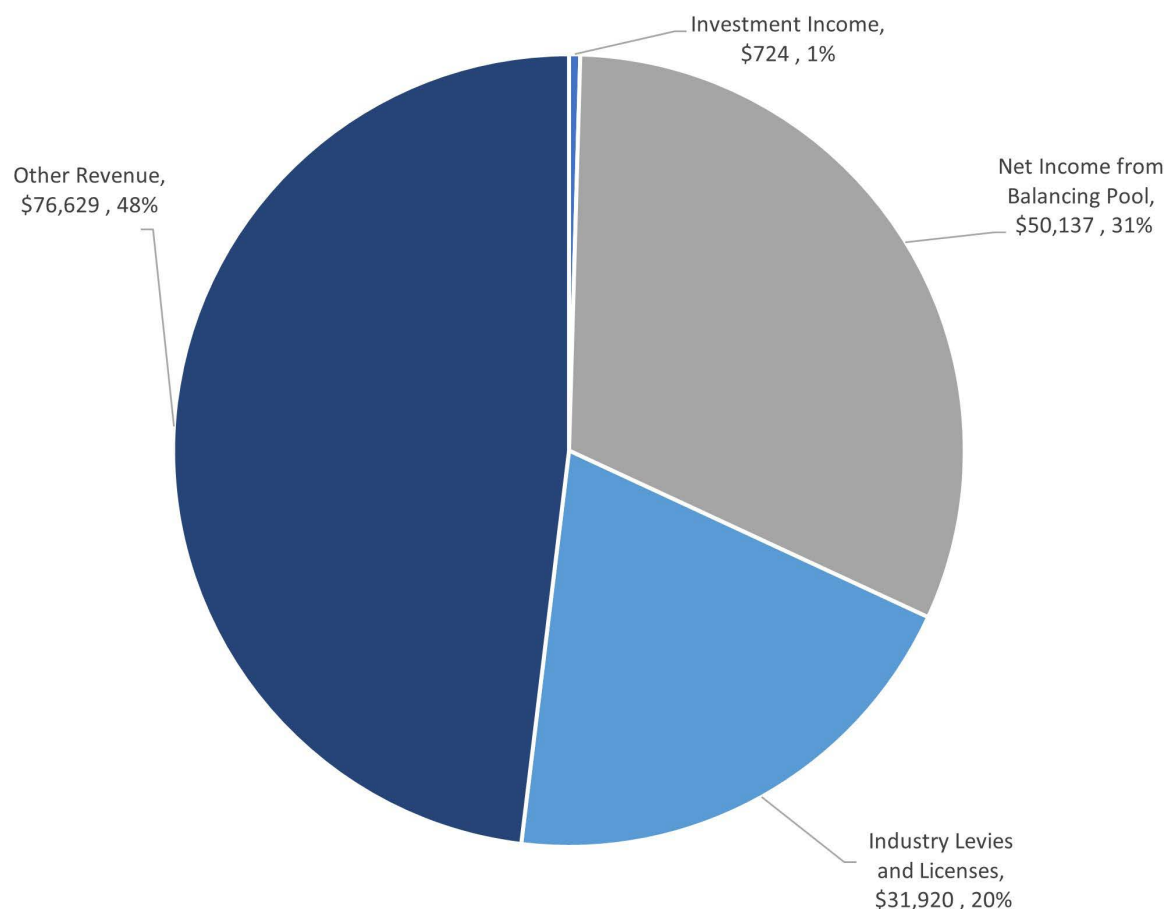
- **Ministry Support Services** – Expenses were \$553,000 higher than budgeted and \$1.4 million higher than the prior year. These expenses include costs associated with the Minister's and Deputy Minister's Offices, and Corporate Services.
- **Affordability and Utilities** – Expenses were \$1.4 million higher than budgeted and \$4.6 million higher than the prior year. These changes are primarily due to salary wages and benefit expenses within the Utilities Consumer Advocate and support for the new Rate of Last Resort.
- **Utility Rebate and Grant Programs** – Expenses were \$146,000 lower than budgeted and \$50.1 million lower than the prior year, primarily due to the ending of the Electricity Rebate Program which finished on April 30, 2023.
- **Climate Change** – Expenses were \$40.7 million higher than budgeted, and \$49.3 million higher than the prior year. These variances were primarily due to a \$50.7 million increase in the REP payments due to power prices decline below contracts strike prices, offset by a \$1.8 million reduction in the accretion expense for the Coal Phase-Out agreements.
- **Utilities Regulation** – Expenses were \$1.3 million less than budget, and \$1.3 million higher than the prior year, driven by AUC operations.

Breakdown of Revenues

Presented below are the consolidated revenues of the ministry. The objective of disclosing the revenues is to provide information that aids in comprehending and valuating the financial ramifications of government revenue generation, thereby strengthening legislative oversight.

2024-25 Actual

(in thousands)



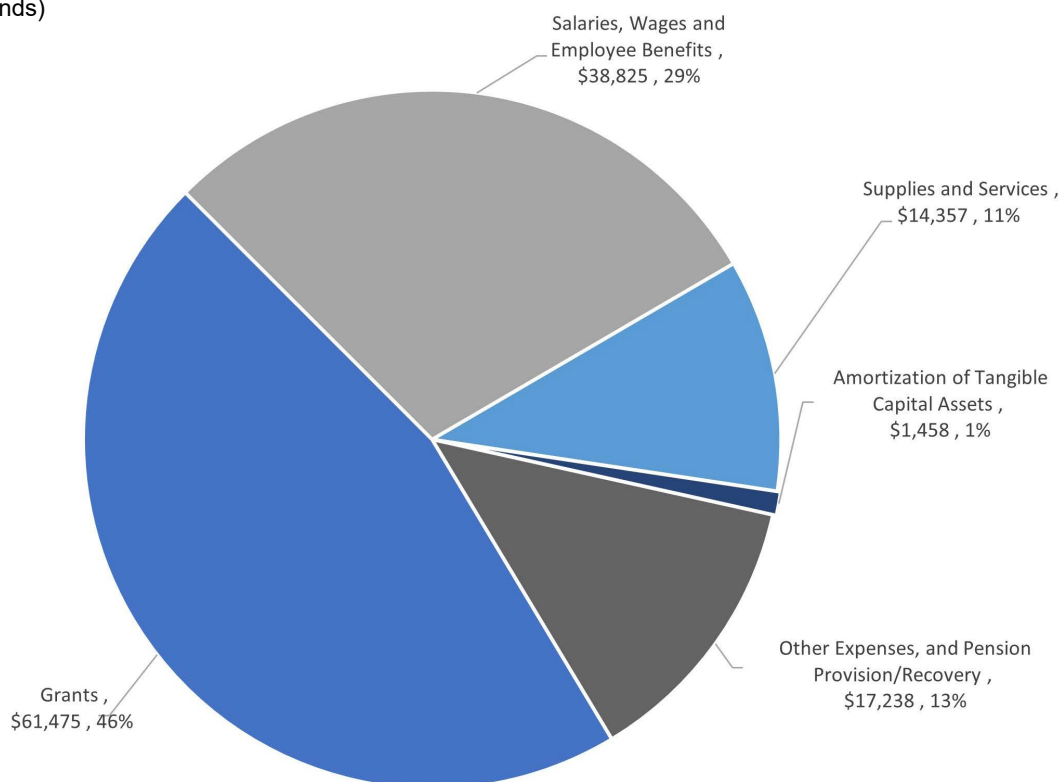
- **Investment Income** – Representing less than one per cent (\$724,000) of total revenues, interest was earned on investments by the AUC.
- **Income from Government Business Enterprises** – Represents thirty-one per cent (\$50.1 million) of total revenue, the Balancing Pool collects revenue from electricity consumers and Payments in Lieu of Taxes (PILOT) received from municipal entities up to December 31, 2024.
- **Industry levies and licenses** – Represents twenty per cent (\$31.9 million) of total revenue, which was collected from levies and licenses by the AUC to finance its operations.
- **Other Revenue** – Represents forty-eight per cent (\$76.6 million) of total revenue, which comprised primarily of REP receipts, AUC penalties and UCA revenues

Expenses – Directly Incurred Detailed by Object (unaudited)

The following chart illustrates the ministry's expenses incurred by objects. The purpose of disclosing expenses by object is to furnish information that is useful in evaluating the economic impact of the government's acquisition or utilization of various resources.

2024-25 Actual

(in thousands)



- **Salaries, Wages and Employee Benefits** – These expenses accounted for twenty-nine per cent (\$38.8 million) of the total expenses. The costs were primarily incurred to support policy development, regulatory work conducted by the AUC and the BP, and the overall support and management of the ministry operations.
- **Supplies and Services** – This category accounts for eleven per cent (\$14.4 million) of the total expenses. It encompasses costs associated with the AUC, expenses incurred by UCA in fulfilling its mission to educate, advocate, and mediate for Alberta residential, farm, and small business energy consumers, and ongoing supply needs for the ministry, including contracted services and materials and supplies.
- **Grants** – Represents forty-six per cent (\$61.5 million) of total expense, which was the largest component of the ministry's expense. Grants primarily consist of payments made under the REP and Grants for Rural Utilities.
- **Amortization of Tangible Capital Assets** – Represents one per cent (\$1.5 million) of total expense, which records the amortization of capital assets used in the ministry, primarily arising from computer hardware and software and leasehold improvements.
- **Other Expenses and Pension Provision/Recovery** - Represents thirteen per cent (\$17.2 million) of total expense, primarily accretion expense related to the Coal Phase-Out Agreements.

Supplemental Financial Information

Assets

Regulated Rate Option (RRO) Stability Loans

In 2023, electricity providers were provided \$222 million in interest free loans to stabilize energy prices for Albertans. The loans were interest free to ensure that interest costs were not an additional burden for ratepayers. Under the RRO Stability Act, a 13.5 cents per kilowatt hour price ceiling was set for January, February, and March 2023 for RRO customers, to protect utility consumers with regulated rates from high electricity prices. The costs above the price ceiling were deferred and were recovered from RRO consumers over 21 months, from April 2023 to December 2024. The recovery period for the loan commenced on April 1, 2023, and ended on December 31, 2024.

Liabilities

On November 24, 2016, the Minister of Energy, representing the Province of Alberta, reached agreements with three coal-fired generators to cease all emissions from coal-fired power plants by December 31, 2030. The agreements cover the following coal-fired generation plants: Sheerness 1 and 2; Genesee 1, 2, and 3; and Keephills 3.

Under these agreements, the Ministry of Affordability and Utilities will pay \$93 million annually to the three generators over a 14-year period, which began on July 31, 2017. In exchange, the coal-fired plants will meet defined annual conditions and will cease emissions from coal-fired power plants by the end of 2030. These conditions require the coal-fired generator owners to invest a minimum specified amount in the communities where the plants were located and make investments related to the electricity business in Alberta.

The present value of the remaining six payments, discounted at an imputed interest rate of 3 per cent (representing the government's average 10-year bond rate at time of negotiations), is \$559 million. The amount of the draw down over the next five years and thereafter are as follows:

Affordability and Utilities
Coal Phase Out Agreements
For the year ending March 31, 2025

(in thousands)	Annual Payment	Principal	Interest
2025-26	93,165	79,577	13,588
2026-27	93,165	81,964	11,201
2027-28	93,165	84,423	8,742
2028-29	93,165	86,956	6,209
2029-30	93,165	89,564	3,600
Thereafter	93,165	92,251	913
	558,989	514,736	44,253

Financial Statements of Other Reporting Entities

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Alberta Utilities Commission**Financial Statements****Table of Contents**

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MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL REPORTING

The accompanying financial statements of the Alberta Utilities Commission (AUC) have been prepared and presented by management, who is responsible for the integrity and fair presentation of the information.

These financial statements are prepared in accordance with Canadian Public Sector Accounting Standards (PSAS). The financial statements necessarily include some amounts that are based on informed judgments and best estimates of management.

Management is responsible for maintaining an effective system of internal controls designed to provide reasonable assurance that financial information is reliable, transactions are properly authorized, assets are safeguarded and liabilities are recognized.

The Auditor General of Alberta, the AUC's external auditor appointed under the *Auditor General Act*, performed an independent external audit of these financial statements in accordance with Canadian generally accepted auditing standards, and has expressed his opinion in the accompanying Independent Auditor's Report.

The Commission is responsible for ensuring that management fulfills its responsibilities for financial reporting and internal controls. The Commission exercises this responsibility through the Chair's Management Committee, composed of the Chair, any Vice-Chair(s), or any Commission member assigned by the Chair. The Chair's Management Committee meets with the external auditors-both in the presence and in the absence of management to discuss their audit, including any findings as to the integrity of financial reporting processes and the adequacy of AUC's systems of internal controls. The external auditors have full and unrestricted access to the Chair's Management Committee.

[Original signed by Bob Heggie]

Chief Executive

[Original signed by Darek Kogut]

Executive Director, Corporate Services

Date: May 13, 2025

Independent Auditor's Report



To the Members of the Alberta Utilities Commission

Report on the Financial Statements

Opinion

I have audited the financial statements of the Alberta Utilities Commission (the AUC), which comprise the statement of financial position as at March 31, 2025, and the statements of operations, change in net financial assets, and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the AUC as at March 31, 2025, and the results of its operations, its changes in net financial assets, and its cash flows for the year then ended in accordance with Canadian public sector accounting standards.

Basis for opinion

I conducted my audit in accordance with Canadian generally accepted auditing standards. My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of my report. I am independent of the AUC in accordance with the ethical requirements that are relevant to my audit of the financial statements in Canada, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Other information

The financial statements of the AUC are included in the *Annual Report of the Ministry of Affordability and Utilities* that is prepared by the Ministry of Affordability and Utilities. The other information comprises the information included in the *Annual Report of the Ministry of Affordability and Utilities* relating to the AUC, but does not include the financial statements of the AUC and my auditor's report thereon. The *Annual Report of the Ministry of Affordability and Utilities* is expected to be made available to me after the date of this auditor's report.

My opinion on the financial statements does not cover the other information and I do not express any form of assurance conclusion thereon.

In connection with my audit of the financial statements, my responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I will perform on this other information, I conclude that there is a material misstatement of this other information, I am required to communicate the matter to those charged with governance.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Canadian public sector accounting standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the AUC's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless an intention exists to liquidate or to cease operations, or there is no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the AUC's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the AUC's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the AUC's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the AUC to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

[Original signed by W. Doug Wylie FCPA, FCMA, ICD.D]
Auditor General

May 13, 2025
Edmonton, Alberta

ALBERTA UTILITIES COMMISSION
STATEMENT OF OPERATIONS
Year Ended March 31, 2025

	2025		2024
	Budget	Actual	Actual
	(Schedule 3)		
	<i>(in thousands)</i>		
Revenues			
Administration fees	\$ 33,015	\$ 31,920	\$ 30,675
Investment income (Note 5)	400	724	860
Professional services and other revenue	15	38	19
	33,430	32,682	31,554
Expenses			
Utility regulation (Schedule 1)	34,280	32,961	31,692
Annual operating deficit	(850)	(279)	(138)
Accumulated surplus at beginning of year	11,570	11,570	11,708
Accumulated surplus at end of year	\$ 10,720	\$ 11,291	\$ 11,570

The accompanying notes and schedules are part of these financial statements.

ALBERTA UTILITIES COMMISSION
STATEMENT OF FINANCIAL POSITION
As at March 31, 2025

	<u>2025</u>	<u>2024</u>
	----- <i>(in thousands)</i> -----	
Financial Assets		
Cash	\$ 8,798	\$ 8,721
Accounts receivable	61	77
Accrued pension asset (Note 6)	1,649	1,559
	<u>10,508</u>	<u>10,357</u>
Liabilities		
Accounts payable and other accrued liabilities (Note 7)	2,389	2,062
Deferred lease incentive (Note 8)	2,089	2,778
Asset retirement obligation (Note 9)	205	198
	<u>4,683</u>	<u>5,038</u>
Net Financial Assets	<u>5,825</u>	<u>5,319</u>
Non-Financial Assets		
Tangible capital assets (Note 10)	4,655	5,377
Prepaid expenses	811	874
	<u>5,466</u>	<u>6,251</u>
Net Assets		
Accumulated surplus (Note 11)	<u>\$ 11,291</u>	<u>\$ 11,570</u>

Contractual obligations (Note 12)

The accompanying notes and schedules are part of these financial statements.

ALBERTA UTILITIES COMMISSION
STATEMENT OF CHANGE IN NET FINANCIAL ASSETS
Year Ended March 31, 2025

	2025		2024
	Budget	Actual	Actual
	(Schedule 3)		
	----- (in thousands) -----		
Annual operating deficit	\$ (850)	\$ (279)	\$ (138)
Acquisition of tangible capital assets (Note 10)	(750)	(755)	(680)
Amortization of tangible capital assets (Note 10)	1,600	1,457	1,389
Net loss on disposal of tangible capital assets	-	20	22
Proceeds on disposal of tangible capital assets	-	-	4
Decrease (increase) in prepaid expenses	-	63	(53)
Increase in net financial assets in the year	-	506	544
Net financial assets at beginning of year	5,319	5,319	4,775
Net financial assets at end of year	\$ 5,319	\$ 5,825	\$ 5,319

The accompanying notes and schedules are part of these financial statements.

ALBERTA UTILITIES COMMISSION
STATEMENT OF CASH FLOWS
Year Ended March 31, 2025

	<u>2025</u>	<u>2024</u>
	<u>-----</u> (in thousands) <u>-----</u>	
Operating transactions		
Annual operating deficit	\$ (279)	\$ (138)
Non-cash items included in annual deficit:		
Amortization of tangible capital assets (Note 10)	1,457	1,389
Pension expense	488	345
Asset retirement obligation accretion (Note 9)	7	7
Net loss on disposal of tangible capital assets	20	22
Decrease (increase) in accounts receivable	16	(17)
Increase (decrease) in accounts payable and other accrued liabilities	327	(279)
Decrease (increase) in prepaid expenses	63	(53)
Cash provided by operating transactions	<u>2,099</u>	<u>1,276</u>
Capital transactions		
Acquisition of tangible capital assets (Note 10)	(755)	(680)
Proceeds on disposal of tangible capital assets	-	4
Cash applied to capital transactions	<u>(755)</u>	<u>(676)</u>
Financing transactions		
Pension obligations funded	(578)	(921)
Net lease incentives repaid	(689)	(689)
Cash applied to financing transactions	<u>(1,267)</u>	<u>(1,610)</u>
Increase (decrease) in cash	77	(1,010)
Cash at beginning of year	8,721	9,731
Cash at end of year	<u><u>\$ 8,798</u></u>	<u><u>\$ 8,721</u></u>

The accompanying notes and schedules are part of these financial statements.

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 1 Authority

The Alberta Utilities Commission (AUC) operates under authority of the *Alberta Utilities Commission Act, Chapter A-37.2*. The AUC also exercises powers and authorities under a number of other statutes. The AUC is an independent, quasi-judicial agency of the province of Alberta that ensures the delivery of Alberta's utility service takes place in a manner that is fair, responsible and in the public interest. The AUC regulates investor-owned electric, natural gas and water utilities and certain municipally owned electric utilities to ensure that customers receive safe and reliable service at just and reasonable rates. The AUC is responsible for making timely decisions on the need, siting, construction, alteration, operation and decommissioning of natural gas and certain electricity transmission facilities. The AUC also regulates power plants in a similar fashion except the need for new power plants is determined by market forces. The AUC develops and amends rules that support the orderly operation of the retail natural gas and electricity markets, and adjudicates on market and operational rule contraventions that the Market Surveillance Administrator may bring before the AUC. The AUC is exempt from income taxes under the *Income Tax Act*.

Note 2 Summary of significant accounting policies and reporting practices

Basis of financial reporting

These financial statements are prepared in accordance with Canadian Public Sector Accounting Standards. Significant accounting policies are as follows:

Revenues

All revenues are reported on the accrual basis of accounting.

Revenues from transactions with performance obligations are recognized when the AUC provides the promised services to a payor. Professional services revenue is recognized as earned over time, as service is provided over the life of the contract term.

Cash received for services not yet provided before year end is recognized as unearned revenue and recorded in accounts payable and other accrued liabilities until the performance obligation is fulfilled.

Revenues from transactions without performance obligations are recognized at their realizable value when the AUC has the authority to claim or retain an inflow of economic resources and identifies a past transaction or event that gives rise to an asset. The AUC does not have a performance obligation to the utilities it regulates due to the non-exchange nature of its regulatory activities. Administration fee revenue is recognized when the AUC has legal authority to claim the funds, which occurs upon the issuance of orders.

Expenses

Expenses are reported on the accrual basis of accounting. The cost of all goods consumed and services received during the year is expensed. Contributed services are not recognized in the Statement of Operations but are disclosed in Note 13.

Foreign currency translation

Foreign currency transactions are translated at the exchange rate prevailing at the date of transaction. Monetary liabilities denominated in foreign currencies are translated to Canadian dollars at the exchange rate prevailing at fiscal year-end.

Valuation of financial assets and liabilities

The AUC's financial assets and liabilities are generally measured as follows:

<u>Financial Statement Component</u>	<u>Measurement</u>
Cash	Cost
Accounts receivable	Lower of cost or net recoverable value
Accrued pension asset	Projected benefit method
Accounts payable and other accrued liabilities	Cost
Deferred lease incentive	Amortized cost
Capital lease obligation	Lower of cost or present value of minimum lease payments
Asset retirement obligation	Present value

The AUC does not carry any financial assets or liabilities at fair value and has no derivatives or unsettled exchange gains or losses, therefore the statement of remeasurement gains or losses is not included in these financial statements.

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 2 Summary of significant accounting policies and reporting practices (continued)

Financial assets

Financial assets are assets that could be used to discharge existing liabilities or finance future operations and are not for consumption in the normal course of operations.

Financial assets are the AUC's financial claims on external organizations and individuals at the year end.

Cash

Cash is comprised of cash on hand and demand deposits.

Accounts receivable

Accounts receivable are recognized at the lower of cost or net recoverable value. A valuation allowance is recorded when recovery is uncertain.

Accrued pension asset

Accrued pension asset represents pension plan contributions made in excess of the pension expense which is actuarially determined using the projected benefit method prorated on length of service and management's best estimate of expected plan investment performance, projected employees' compensation levels, and length of service to the time of retirement.

For the purpose of calculating pension expense, the AUC uses the expected future rate of return on plan assets as its discount rate. For the purpose of calculating the expected return, plan assets are valued at market-related values.

Past service costs arising from plan amendments are expensed in the period of the plan amendment. Any actuarial gain or loss is amortized over the average remaining service period of active employees.

Defined contribution plan accounting is applied to the government of Alberta multi-employer defined benefit pension plans as the AUC has insufficient information to apply defined benefit plan accounting.

Liabilities

Liabilities are present obligations of the AUC to external organizations and individuals arising from past transactions or events occurring before the year end, the settlement of which is expected to result in the future sacrifice of economic benefits. They are recognized when there is an appropriate basis of measurement and management can reasonably estimate the amounts. Generally, liabilities include trade payables, accrued liabilities and accrued employee vacation entitlements.

Deferred lease incentive

Lease incentive benefits are amortized on a straight line basis over the term of lease as a reduction to rental expense.

Capital lease obligation

Capital lease obligation and the corresponding leased tangible capital asset is recorded at the lower of the leased property's fair value and the present value of the minimum lease payments.

Asset Retirement Obligation (ARO)

Asset retirement obligation is a legal obligation associated with the retirement of a tangible capital asset (TCA). Asset retirement activities include all activities relating to an asset retirement obligation. This may include, but is not limited to decommissioning or dismantling a tangible capital asset that was acquired, constructed or developed.

A liability for an asset retirement obligation is recognized when, as at the financial reporting date:

- (a) there is a legal obligation to incur retirement costs in relation to a tangible capital asset;
- (b) the past transaction or event giving rise to the liability has occurred;
- (c) it is expected that future economic benefits will be given up; and
- (d) a reasonable estimate of the amount can be made.

When a liability for asset retirement obligation is recognized, asset retirement costs related to recognized tangible capital assets in productive use are capitalized by increasing the carrying amount of the related asset and are amortized on a straight-line basis over the estimated useful life of the underlying tangible capital asset. Asset retirement costs related to unrecognized tangible capital assets and those not in productive use are expensed.

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 2 Summary of significant accounting policies and reporting practices (continued)

Non-financial assets

Non-financial assets are acquired, constructed, or developed assets that do not normally provide resources to discharge existing liabilities, but instead:

- (a) are normally employed to deliver AUC services;
- (b) may be consumed in the normal course of operations; and
- (c) are not for sale in the normal course of operations.

Non-financial assets include tangible capital assets and prepaid expenses.

Tangible capital assets

Tangible capital assets are recognized at cost, less accumulated amortization, which includes amounts that are directly related to the acquisition, design, construction, development, improvement or betterment of the assets.

The cost, less residual value, of tangible capital assets, are amortized on a straight-line basis over its estimated useful life as follows:

Computer hardware and software	Three to seven years
Furniture and equipment	Three to forty years
Leasehold improvements	Lease term

Tangible capital assets are written down when conditions indicate that they no longer contribute to the AUC's ability to provide services, or when the value of future economic benefits associated with the tangible capital assets are less than their net book value. The net write-downs are accounted for as expenses in the Statement of Operations.

The capitalization threshold for all tangible capital assets is \$1.5 unless they are included in certain tangible capital asset pools.

Prepaid expenses

Prepaid expenses are recorded at cost and amortized based on the terms of the agreement.

Measurement uncertainty

Measurement uncertainty exists when there is a variance between the recognized or disclosed amount and another reasonably possible amount. The amounts recorded for amortization of tangible capital assets are based on estimates of the useful life of the related assets. Also, the accrued pension asset incorporates multiple assumptions. Actual results for amortization and accrued pension asset may differ from reported values.

There is measurement uncertainty related to asset retirement obligation as it involves estimates in discount rates used, settlement timing and amount. Changes to any of these estimates and assumptions may result in a change to the obligation.

Note 3 Future changes in accounting standards

On April 1, 2026, the AUC will adopt the following new conceptual framework and accounting standard approved by the Public Sector Accounting Board:

The Conceptual Framework for Financial Reporting in the Public Sector

The Conceptual Framework is the foundation for public sector financial reporting standard setting. It replaces the conceptual aspects of Section PS 1000 Financial Statement Concepts and Section PS 1100 Financial Statement Objectives. The conceptual framework highlights considerations fundamental for the consistent application of accounting issues in the absence of specific standards.

PS 1202 Financial Statement Presentation

Section PS 1202 sets out general and specific requirements for the presentation of information in general purpose financial statements. The financial statement presentation principles are based on the concepts within the Conceptual Framework.

Management is currently assessing the impact of the conceptual framework and the standard on the financial statements.

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 4 Financial instruments

The AUC has the following financial instruments: accounts receivable, accounts payable and other accrued liabilities.

The AUC has exposure to the following risks from its use of financial instruments:

Liquidity risk

Liquidity risk is the risk that the AUC will encounter difficulty in meeting obligations associated with financial liabilities. The AUC does not consider this to be a significant risk as it collects the majority of annual revenues at the beginning of the year and maintains a significant cash reserve to meet all obligations that arise during the year.

Credit risk

The AUC is not exposed to any significant credit risk from potential non-payment of accounts receivable. As at March 31, 2025, the balance of accounts receivables does not contain amounts that were past due or uncollectible.

Note 5 Investment income

Investment income includes interest income earned from deposits in the Consolidated Liquidity Solution (CLS). Under the CLS, money is pooled to reduce government debt outstanding. The CLS participants are paid interest monthly on their cash balance at an interest rate based on the twelve weeks rolling average of the province's borrowing rate. For the year ended March 31, 2025, the actual rate of return on the cash balance was 4.08 per cent (2024: 4.96 per cent).

	2025	2024
Consolidated Liquidity Solution	\$ 718	\$ 854
Other	6	6
	<u>\$ 724</u>	<u>\$ 860</u>

Note 6 Pension

The AUC participates in the Government of Alberta's multi-employer pension plans of Management Employees Pension Plan, Public Service Pension Plan, and Supplementary Retirement Plan for Public Service Managers. The expense for these pension plans is equal to the contribution of \$1,677 for the year ended March 31, 2025 (2024: \$1,648). The AUC is not responsible for future funding of the plans deficit other than through contribution increases.

In addition, the AUC maintains its own defined benefit Senior Employees Pension Plan (SEPP) and two supplementary pension plans to compensate senior staff who do not participate in the government management pension plans. Retirement benefits are based on each employee's years of service and remuneration.

The effective date of the most recent actuarial funding valuation for SEPP was December 31, 2023. The accrued benefit obligation as at March 31, 2025 is based on the extrapolation of the results of this valuation. The effective date of the next required funding valuation for SEPP is December 31, 2026.

Pension plan assets are valued at market values. During the year ended March 31, 2025 the weighted average actual return on plan assets was 7.87 per cent (2024: 7.01 per cent).

Significant weighted average actuarial and economic assumptions used to value accrued benefit obligations and pension benefit costs are as follows:

	<u>March 31, 2025</u>	<u>March 31, 2024</u>
Accrued benefit obligations		
Discount rate	4.27%	4.44%
Rate of compensation increase	3.00%	3.00%
Long-term inflation rate	2.00%	2.00%

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 6 Pension (continued)

	2025	2024
Pension Benefit costs for the year		
Discount rate	4.44%	4.65%
Expected rate of return on plan assets	4.44%	4.65%
Rate of compensation increase	3.00%	3.00%

The funded status and amounts recognized in the Statement of Financial Position are as follows:

	March 31, 2025	March 31, 2024
Market value of plan assets	\$ 19,252	\$ 17,758
Accrued benefit obligations	17,477	15,921
Plan surplus	1,775	1,837
Unamortized actuarial gain	(126)	(278)
Accrued pension asset	<u>\$ 1,649</u>	<u>\$ 1,559</u>

The pension benefit costs for the year include the following components:

	2025	2024
Current period benefit costs	\$ 561	\$ 512
Interest cost	695	740
Expected return on plan assets	(789)	(814)
Amortization of actuarial losses (gains)	21	(93)
	<u>\$ 488</u>	<u>\$ 345</u>

The average remaining service period of active employees is 9.7 years (2024: 9.7 years).

Additional information about the defined benefit pension plans is as follows:

	2025	2024
AUC contribution	\$ 579	\$ 920
Employees' contribution	156	161
Benefits paid	642	1,325

The asset allocation of the defined benefit pension plans' investments is as follows:

	March 31, 2025	March 31, 2024
Equity securities	48.87%	47.12%
Debt securities	15.34%	15.21%
Other	35.79%	37.67%
	<u>100.00%</u>	<u>100.00%</u>

Note 7 Accounts payable and other accrued liabilities

	2025	2024
Accounts payable	\$ 508	\$ 504
Other accrued liabilities	1,881	1,558
	<u>\$ 2,389</u>	<u>\$ 2,062</u>

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 8 Deferred lease incentive

The AUC has received lease incentives through its office lease agreements. The AUC did not receive any lease incentives in 2025 or 2024.

	2025	2024
Balance at beginning of year	\$ 2,778	\$ 3,467
Lease incentive amortized	(689)	(689)
Balance at end of year	<u>\$ 2,089</u>	<u>\$ 2,778</u>

Note 9 Asset retirement obligation

	2025	2024
Asset retirement obligation, beginning of year	\$ 198	\$ 191
Accretion expense	7	7
Asset retirement obligation, end of year	<u>\$ 205</u>	<u>\$ 198</u>

Tangible capital assets with associated retirement obligations include leasehold improvements for leased office building.

Asset retirement obligation is initially measured as of the date the legal obligation was incurred, based on management's best estimate of the amount required to retire tangible capital assets and may be subsequently re-measured at each financial reporting date taking into account any new information and the appropriateness of assumptions used. The estimate of the liability is based on a third-party quote.

A present value technique is used to measure the liability where the liability is adjusted for the passage of time and is recognized as accretion expense in the Statement of Operations. At March 31, 2025, the undiscounted amount of estimated future cash required to settle this obligation is \$166 (2024: \$166) and is discounted using a discount rate of 3.5 per cent (2024: 3.5 per cent). The ARO is expected to be settled in 2028.

Note 10 Tangible capital assets

	March 31, 2025				March 31, 2024
	Computer hardware and software	Furniture and equipment	Leasehold improvement	Total	Total
Historical cost					
Beginning of year	\$ 6,747	\$ 2,523	\$ 6,051	\$ 15,321	\$ 15,746
Additions	755	-	-	755	680
Disposals	(77)	(8)	-	(85)	(1,105)
	<u>7,425</u>	<u>2,515</u>	<u>6,051</u>	<u>15,991</u>	<u>15,321</u>
Accumulated amortization					
Beginning of year	\$ 4,932	\$ 1,461	\$ 3,551	\$ 9,944	\$ 9,634
Amortization expense	581	234	642	1,457	1,389
Effect of disposals	(57)	(8)	-	(65)	(1,079)
	<u>5,456</u>	<u>1,687</u>	<u>4,193</u>	<u>11,336</u>	<u>9,944</u>
Net book value at March 31, 2025	<u>\$ 1,969</u>	<u>\$ 828</u>	<u>\$ 1,858</u>	<u>\$ 4,655</u>	
Net book value at March 31, 2024	<u>\$ 1,815</u>	<u>\$ 1,062</u>	<u>\$ 2,500</u>		<u>\$ 5,377</u>

ALBERTA UTILITIES COMMISSION
NOTES TO THE FINANCIAL STATEMENTS
March 31, 2025
(in thousands of dollars)

Note 11 Accumulated surplus

Accumulated surplus is comprised of the following:

	2025			2024
	Investments in tangible capital assets	Unrestricted surplus	Total	Total
Balance at beginning of year	\$ 5,377	\$ 6,193	\$ 11,570	\$ 11,708
Annual operating deficit	-	(279)	(279)	(138)
Net investment in tangible capital assets	(722)	722	-	-
Balance at end of year	\$ 4,655	\$ 6,636	\$ 11,291	\$ 11,570

Note 12 Contractual obligations

Contractual obligations are obligations of the AUC to others that will become liabilities in the future when the terms of those contracts or agreements are met. Contractual obligations for each of the next five fiscal years and thereafter are as follows:

Obligations under operating leases, contracts and programs:

	Total
2026	\$ 3,559
2027	3,067
2028	2,928
2029	515
2030	174
Thereafter	-
	<u>\$ 10,243</u>

Note 13 Related party transactions

Related parties are those entities consolidated or accounted for on the modified equity basis in the Government of Alberta's Consolidated Financial Statements. Related parties also include key management personnel and close family members of those individuals at the AUC. For the year ended March 31, 2025, the AUC received interest income of \$718 (2024: \$854) and incurred expenses of \$189 (2024: \$199) for services received from other government of Alberta organizations. The AUC had not received or provided any contributed goods or services from other government of Alberta organizations. There were no transactions between the AUC and its key management personnel or close family members during the year.

Note 14 Approval of financial statements

These financial statements were approved by the AUC's Chair's Management Committee.

ALBERTA UTILITIES COMMISSION
EXPENSES - DETAILED BY OBJECT
Year Ended March 31, 2025

Schedule 1

	2025		2024
	Budget	Actual	Actual
	<i>----- (in thousands) -----</i>		
Salaries, wages and employee benefits	\$ 26,199	\$ 24,183	\$ 22,509
Supplies and services	6,481	7,301	7,772
Amortization of tangible capital assets (Note 10)	1,600	1,457	1,389
Net loss on disposal of tangible capital assets	-	20	22
	<u>\$ 34,280</u>	<u>\$ 32,961</u>	<u>\$ 31,692</u>

ALBERTA UTILITIES COMMISSION
SALARY AND BENEFITS DISCLOSURE
Year Ended March 31, 2025

Schedule 2

	2025				2024
	Base Salary ⁽¹⁾	Other Cash Benefits ⁽²⁾	Other Non-cash Benefits ⁽³⁾	Total	Total
	<i>(in thousands)</i>				
Chair of the Commission ⁽⁴⁾	\$ 376	\$ 77	\$ 87	\$ 540	\$ 561
Vice-Chair	265	27	83	375	361
Vice-Chair	265	40	26	331	325
Commission Member	218	33	57	308	292
Commission Member	221	17	58	296	289
Commission Member	221	30	32	283	286
Commission Member	210	14	49	273	262
Commission Member	196	27	21	244	233
Commission Member ⁽⁵⁾	-	-	-	-	-

(1) Base salary includes regular salary.

(2) Includes payments in lieu of vacation, health and pension benefits. No bonuses have been paid.

(3) Employer's contributions to all employee benefits including Employment Insurance, Canada Pension Plan, Alberta pension plans, health benefits, professional memberships, tuition fees and fair market value of parking. Automobiles were provided but no dollar amount included in other non-cash benefits.

(4) The Chair of the Commission received an allowance in lieu of a vehicle.

(5) The position became vacant on July 9, 2022.

ALBERTA UTILITIES COMMISSION
AUTHORIZED BUDGET
Year Ended March 31, 2025

Schedule 3

	Budget (Estimate)	Authorized Changes	Authorized Budget	Actual
	<i>----- (in thousands) -----</i>			
Revenues				
Administration fees	\$ 33,015	\$ -	\$ 33,015	\$ 31,920
Investment income	400	-	400	724
Professional services	15	-	15	38
	<u>33,430</u>	<u>-</u>	<u>33,430</u>	<u>32,682</u>
Expenses				
Utility regulation	<u>34,280</u>	<u>-</u>	<u>34,280</u>	<u>32,961</u>
Net Capital Investment				
Capital investment	750	-	750	755
Amortization	(1,600)	-	(1,600)	(1,457)
Proceeds on disposal of tangible capital assets	-	-	-	-
Net loss on disposal	<u>-</u>	<u>-</u>	<u>-</u>	<u>(20)</u>
	<u>(850)</u>	<u>-</u>	<u>(850)</u>	<u>(722)</u>
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 443</u>

Note:

The AUC's Chair's Management Committee approved and submitted the preliminary business plan budget for the year ended March 31, 2025 to the Minister of Affordability and Utilities. The Budget was approved by the government of Alberta.

Balancing Pool
Financial Statements
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Independent auditor's report

To the Board of Directors of Balancing Pool

Our opinion

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Balancing Pool (the Corporation) as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).

What we have audited

The Corporation's financial statements comprise:

- the statement of financial position as at December 31, 2024;
- the statement of income and comprehensive income for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Corporation in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada. We have fulfilled our other ethical responsibilities in accordance with these requirements.

Other information

Management is responsible for the other information. The other information comprises the Management's Discussion and Analysis.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

PricewaterhouseCoopers LLP
Suncor Energy Centre, 111 5th Avenue South West, Suite 3100, Calgary, Alberta, Canada T2P 5L3
T.: +1 403 509 7500, F.: +1 403 781 1825, Fax to mail: ca_calgary_main_fax@pwc.com

"PwC" refers to PricewaterhouseCoopers LLP, an Ontario limited liability partnership.



In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Corporation's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Corporation or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Corporation's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Corporation's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Corporation's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Corporation to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

PricewaterhouseCoopers LLP

Chartered Professional

Accountants Calgary, Alberta

April 9, 2025

Balancing Pool Statements of Financial Position (in thousands of Canadian dollars)	2024	2023
Assets		
Current assets		
Cash and cash equivalents	65,654	52,079
Trade and other receivables (Note 5)	7,160	22,640
Inventory (Note 7)	32,330	43,690
Total Assets	105,144	118,409
Liabilities		
Current liabilities		
Trade payables and other accrued liabilities (Note 9)	17,882	10,197
Related party loan (Note 15)	415,310	483,965
Reclamation and abandonment provision (Note 10)	8,656	21,105
Total Liabilities	441,848	515,267
Net liabilities attributable to the Balancing Pool deferral account (Note 11)	(336,704)	(396,858)
Contingencies and commitments (Note 12)		
Subsequent events (Note 16)		

See accompanying notes to the financial statements.

On behalf of the Balancing Pool:

Greg Clark

Greg Clark
Chair

Neil Kjelland

Neil Kjelland
Vice-Chair

Balancing Pool		
Statements of Income and Comprehensive Income		
(in thousands of Canadian dollars)		
	2024	2023
Revenue from contracts with customers		
Consumer collection (Note 3)	78,905	129,355
Other income from operating activities		
Payments in lieu of tax	7,809	22,084
Expenses (income)		
Cost of sales (Note 13)	163	224
Reclamation and abandonment recovery (Note 10, Note 12)	(13,416)	(6,919)
Mandated costs (Note 15)	6,151	5,156
General and administrative	1,052	1,264
Commercial costs (Note 14)	2,046	2,293
	(4,004)	2,018
Income before other income (expense)	90,718	149,421
Other income (expense)		
Finance expense (Note 8)	(22,282)	(19,820)
Interest income	3,077	1,438
Other income (expense) (Note 7)	(11,359)	43,690
	(30,564)	25,308
Change to the Balancing Pool deferral account (Note 11)	60,154	174,729

See accompanying notes to the financial statements.

Balancing Pool Statements of Cash Flows (in thousands of Canadian dollars)	2024	2023
Cash flow provided by (used in)		
Operating activities		
Change to the Balancing Pool deferral account	60,154	174,729
Adjustments for		
Amortization and depreciation	-	3
Reclamation and abandonment recovery (Note 10)	(13,432)	(5,420)
Finance expense (Note 8)	22,282	19,820
Fair value changes on emission credits held for trading (Note 7)	11,359	-
Hydro PPA negotiated settlement (Note 7)	-	(43,690)
Reclamation and abandonment expenditures (Note 10)	-	(71)
Net change in non-cash working capital:		
Trade and other receivables	15,480	(5,370)
Trade payable and other accrued liabilities	7,685	5,053
Net cash provided by operating activities	103,528	145,054
Financing activities		
Lease payments	-	(2)
Payments on related party loan (Note 15)	(1,859,752)	(1,181,633)
Interest paid on related party loan (Note 15)	(23,247)	(19,617)
Proceeds from issue of related party loan (Note 15)	1,793,046	1,055,807
Net cash used in financing activities	(89,953)	(145,445)
Change in cash and cash equivalents	13,575	(391)
Cash and cash equivalents, beginning of year	52,079	52,470
Cash and cash equivalents, end of year	65,654	52,079

See accompanying notes to the financial statements



Notes to Financial Statements

1. Reporting Entity and Nature of Operations

Formation and Duties of the Balancing Pool

The Balancing Pool was formed to facilitate policy implementation and to support the functioning of the electricity industry for the benefit of Albertans. The *Electric Utilities Act (2003)* ("EUA") and certain regulations made under it established the mandate of the Balancing Pool, which was principally to manage certain assets, liabilities, revenues, and expenses associated with the ongoing evolution of Alberta's electric industry.

The Balancing Pool was established in 1998 as a separate financial account of the Power Pool Council (the "Council") and commenced operations in 1999. The Council was a statutory corporation established under the *Electric Utilities Act of Alberta (1995)*. With the proclamation of the EUA on June 1, 2003, the Balancing Pool was established as a separate statutory corporation (the "Corporation"). The assets and liabilities of the Council that relate to the duties, responsibilities and powers of the Balancing Pool were transferred to the Corporation.

Under the EUA, the Corporation is required to operate without a profit or loss (Note 11). No share capital for the Corporation has been issued.

The Balancing Pool Board of Directors (the "Board") consists of individual members who are independent of persons having a material interest in the Alberta electric industry. The members of the Board are appointed by the Minister of Affordability and Utilities of the Government of Alberta.

The head office and records of the Balancing Pool are located at Suite 1800, 330 - 5 Avenue SW, Calgary, Alberta, Canada.

Activities of the Balancing Pool

The initial allocation of assets and liabilities to the Balancing Pool was charged to a deferral account. Differences between annual revenues and expenditures are also charged or credited to the Balancing Pool deferral account.

The EUA requires that the Balancing Pool forecast its revenues and expenses. Any excess or shortfall of funds in the accounts is to be allocated to, or provided by, electricity consumers over time.

On March 6, 2024, the *Electricity Statutes (Modernizing Alberta's Electricity Grid) Amendment Act, 2022* was proclaimed and the related regulations were brought into force. The following Balancing Pool responsibilities are assigned to other agencies.

- The responsibilities of the Balancing Pool in the Small Scale Generation Regulation are assigned to the Alberta Electric System Operator ("AESO") effective October 1, 2024.
- The collection of installments (refunds) under the PILOT regulations is assigned to the Crown in right of Alberta effective January 1, 2025. The Balancing Pool will be responsible for collection of installments (refunds) for tax year 2024 and prior.
- Funding for the Utilities Consumer Advocate ("UCA") has been assigned to the utilities and collection of funding will be administered and enforced by the Alberta Utilities Commission ("AUC"). The legislation is effective March 6, 2024, however, the new process with the AUC will be developed over the course of 2025. As such, the Balancing Pool will still be responsible for funding the UCA up to March 31, 2026.
- Amendments to the Isolated Generating Units and Customer Choice Regulation removes the Balancing Pool's liability for reclamation and abandonment costs of Isolated Generating sites as well as funding the sale of Isolated Generating units effective March 6, 2024.

The Balancing Pool's business activities in 2024 include the following:

- Collection of funds from electricity consumers.
- Trade emission credit inventory.
- Payments (refund) in lieu of tax for tax year 2024 and prior.
- Repayment of the outstanding loan with the Provincial government.
- Resolving outstanding legal disputes related to the PPAs.
- Acting as agent for Small Scale Generators up to September 30, 2024.
- Funding the Utility Consumer Advocate up to March 31, 2026.
- Funding certain decommissioning obligations.

Revenue from Contracts with Customers

i) Consumer collection

Pursuant to Section 82 of the EUA, the Balancing Pool collects or allocates an annualized amount from electricity customers. The consumer collection from the AESO is being accounted for as revenue of the Balancing Pool. The Balancing Pool has applied judgment in determining that the consumer collection collected via rate Rider F, as specified in the EUA, is analogous to a contract with a customer. The legislation contained in the EUA established the Balancing Pool's right to recover operating shortfalls from electricity customers via Rider F of the AESO tariff.

Other income

i) Investment income and changes in fair value of investments

Cash, cash equivalents and investments held by the Balancing Pool generate investment income consisting of interest.

ii) Payments (refunds) in Lieu of Tax ("PILOT")

Pursuant to Section 147 of the EUA, the Balancing Pool collects installments (refunds) which is a notional amount of tax from electricity companies controlled by municipal entities that are active in Alberta's competitive electricity market and are otherwise exempt from the payment of tax under the *Income Tax Act* or the *Alberta Corporate Tax Act*. The Balancing Pool does not calculate instalment payments or refunds and it does not audit PILOT filings. PILOT instalments are calculated by the payer and PILOT filings are subject to audit by Alberta Tax and Revenue.

Expenses

i) Cost of sales

Cost of sales includes amortization and depreciation, banking fees and costs associated with the administration of the Small Scale Generation Regulation.

ii) Other costs

Under the terms of government legislation, the Balancing Pool is obligated to make payments to certain entities for such matters as reclamation and abandonment. The Minister of Affordability and Utilities may direct the Balancing Pool to also fund specific payments under Section 148 of the EUA, which amounts are included in mandated costs.

2. Basis of Presentation

These financial statements for the year ended December 31, 2024, have been prepared by management in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB") ("IFRS Accounting Standards") and include as comparative information for the year ended December 31, 2023.

These financial statements were authorized and approved for issue by the Board of the Balancing Pool on April 9, 2025.

3. Summary of Material Accounting Policies

The material accounting policies used in the preparation of these financial statements are as follows:

Basis of Measurement

These financial statements have been prepared on a historical cost convention, except for the emission credits which were initially recognized and measured at fair value as part of the Hydro PPA negotiated settlement.

Revenue from Contracts with Customers

The Balancing Pool applies IFRS 15, *Revenue from contracts with customers* for its revenue arrangements.

Consumer Collection (Allocation)

Upon adoption of IFRS 15, consumer collection revenue is recognized in the statement of income and comprehensive income on an accrual basis in the period in which amounts are charged (refunded) to electricity customers based on an annualized tariff amount, which is the point in time when control of the goods and services passes to the customer. Consumer collection revenue is measured at the fair value of the consideration received or receivable. The Corporation has elected to recognize revenue based on amounts invoiced.

The timing of revenue recognition does not result in any contract assets or liabilities and there are no unfulfilled performance obligations at any point in time. The Balancing Pool has applied judgment in the application of its accounting policy that the consumer collection (allocation) represents a contract with a customer in the scope of IFRS 15 (see Note 1).

Other Income (Expense) Recognition**(a) Investment income**

Investment income resulting from interest is recorded on an accrual basis when there is reasonable assurance as to its measurement and collectability.

(b) Payments (refunds) in Lieu of Tax ("PILOT")

PILOT funds are accrued based on instalments received from or refunds paid to a municipal entity for a particular tax year. PILOT payments are calculated by the municipal entities and are subject to assessment and audit by Alberta Tax and Revenue Administration. Adjustments, if any, arising from audits, or other legal proceedings, related to historical tax periods are recorded in the current year, upon receipt. Adjustments, if any, arising from audits for the preceding year, are accrued in the preceding year.

Income Taxes

No provision has been made for current or deferred income tax as the Balancing Pool is exempt from Federal and Provincial income tax.

Cash and Cash Equivalents

Cash and cash equivalents are comprised of cash on deposit at the bank.

Trade and Other Receivables

Trade and other receivables are classified and measured at amortized cost less any impairment.

Inventory

Emission credits, which have been acquired through the Hydro PPA negotiated settlement, are recorded as inventory, and carried at net realizable value. Emission credits are limited to a life of between five to eight years depending on the vintage.

Impairment – Financial Assets

The Corporation applies IFRS 9, *Financial Instruments*, simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance for all trade and other receivables. To measure the expected credit losses, trade receivables and other receivables have been grouped based on shared credit risk characteristics and the days past due. Trade and other receivables are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Corporation, and a failure to make contractual payments for a period of greater than 120 days past due.

No impairment provision has been recorded at December 31, 2024, related to trade and other receivables.

Reclamation and Abandonment Obligations

Reclamation and abandonment obligations include legal obligations requiring the Balancing Pool to fund the decommissioning of tangible long-lived assets such as generation and production facilities. A provision is made for the estimated cost of site reclamation and restoration.

Reclamation and abandonment obligations are measured as the present value of management's best estimate of expenditures required to settle the present obligation at the period end date. Subsequent to the initial measurement, the obligations are adjusted at the end of each period to reflect the passage of time and changes in the estimated future cash flows underlying the obligation. The increase in the provision due to the passage of time is recognized as a finance expense. Increases / decreases due to changes in the estimated future cash flows are expensed. Actual costs incurred upon settlement of the reclamation and abandonment obligations are charged against the provision to the extent the provision was established.

The Balancing Pool's estimates of reclamation and abandonment obligations are based on reclamation standards that meet current regulatory requirements. The estimate of the total liability of future site restoration costs may be subject to change based on amendments to laws and regulations. Accordingly, the amount of the liability will be subject to re-measurement at each period end date.

Pursuant to Section 5 of the *Power Purchase Arrangements Regulation*, a PPA Owner may apply to the AUC to receive from the Balancing Pool the amount by which decommissioning costs related to a former PPA unit exceed the amount the PPA Owner collected from consumers before January 1, 2001 and subsequently through the PPA, provided that the unit has ceased generating electricity and the application is made within one year of the termination or expiration of the PPA. Section 5 of the *Power Purchase Arrangements Regulations* does not apply after December 31, 2018.

The reclamation and abandonment provision includes an estimate of the costs associated with decommissioning costs for the Sundance A unit if the AUC approves the costs.

The discount rate used to value these liabilities is based upon the risk-free rate and may be adjusted for other risks associated with these liabilities.

Other Provisions

Provisions for obligations are recognized when the Balancing Pool has a present legal or constructive obligation as a result of past events, it may be probable that an outflow of resources will be required to settle the obligation, and the amount can be reliably estimated. Provisions are not recognized for future operating losses.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a risk-free discount rate that reflects current market assessments of the time value of money. The increase in the provision due to the passage of time is recognized as finance expense.

Amended standards adopted by the Corporation

The Balancing Pool has adopted the following accounting amendment that is effective for the annual periods beginning January 1, 2024. The adoption of this amendment did not have a material impact on the Corporation's financial statements.

Amendments to IAS 1, *Presentation of Financial Statements*, issued in 2020 and 2022, clarify requirements for classifying liabilities as current or non-current and introduce additional disclosures of material information that enables users of financial statements to comprehend the risk that non-current liabilities with covenants may become payable within the next twelve months. These amendments have been applied retrospectively.

Recently announced accounting pronouncements

The following standards, amendments and interpretations are issued, but not yet effective as at December 31, 2024, and the Balancing Pool intends to adopt these standards, amendments and interpretations when they become effective.

IFRS 18, *Presentation and Disclosure in Financial Statements*

In April 2024, the IASB issued new IFRS 18, *Presentation and Disclosure in Financial Statements* replacing IAS 1. The new guidance is expected to improve the usefulness of information presented and disclosed in the financial statements of companies. IFRS 18 introduces the following key changes:

- Structure of the statement of income: IFRS 18 introduces a defined structure for the statement of income composed of operating, investing, and financing categories with defined subtotals, such as operating earnings (loss), earnings (loss) before financing and income taxes and net earnings (loss) for the year. The new guidance also requires disclosure of expenses in the operating category by nature, function or a mix of both on the face of the statement of income.

- Disclosures on management-defined performance measures ("MPMs"): IFRS 18 requires companies to disclose definitions of company-specific MPMs that are related to the statement of income (loss) and provide reconciliations between the MPMs and the most similar specified subtotals within the statement of income in a single note.
- Aggregation and disaggregation (impacting all primary financial statements and notes): IFRS 18 sets out enhanced guidance on the principles of how items should be aggregated based on shared characteristics. The changes are expected to provide more detailed and useful information to investors.

IFRS 18 is effective for annual reporting periods beginning on or after January 1, 2027, with early adoption permitted. The Balancing Pool is currently assessing the impact of this new IFRS accounting standard on its financial statements.

Amendments to IFRS 9, *Financial Instruments* and IFRS 7, *Financial Instruments: Disclosures*

In May 2024, the IASB issued narrow-scope amendments to the recognition, derecognition and classification requirements in IFRS 9, *Financial Instruments* and introduced additional disclosure requirements in IFRS 7, *Financial Instruments: Disclosure*. The amendments include:

- Clarification on the timing of recognition and derecognition of financial assets and liabilities, with a new optional exception introduced for earlier derecognition of financial liabilities settled through electronic payment systems.
- Introduction of additional disclosures for certain financial instruments with contractual terms that could change the timing or amount of contractual cash flows due to contingent events that are not directly related to changes in basic lending risks and costs.
- Additional guidance for assessing whether the contractual cash flows of financial assets represent solely payments of principal and interest and updated disclosures for equity instruments designated at fair value through other comprehensive income.

The amendments are effective for annual reporting periods beginning on or after January 1, 2026. The Balancing Pool is currently assessing the impact of these amendments on its financial statements.

4. Significant Accounting Judgments, Estimates and Assumptions

The timely preparation of the financial statements requires that management make estimates and assumptions and use judgment regarding the reported value of assets and liabilities, disclosures of contingent assets and liabilities at the date of the financial statements and the amounts of revenues and expenses reported for the year. Such estimates reflect management's best estimate of future events as of the date of the financial statements. These financial statements have, in management's opinion, been properly prepared using careful judgment within reasonable limits of materiality and within the framework of the significant accounting policies summarized below. Accordingly, actual results will differ from estimated amounts as future confirming events occur.

Critical Judgment in Applying Accounting Policies

Management has made a critical judgment in applying its accounting policies, such as concluding that the consumer collection is accounted for as revenue from a contract with a customer (Note 1, 11).

This critical judgement has been made in the process of applying accounting policies and has a significant effect on the amount recognized in the financial statements.

Key Sources of Estimation Uncertainty

Since the determination of certain assets, liabilities, revenues and expenses is dependent upon and determined by future events, the preparation of these financial statements requires the use of estimates and assumptions. These estimates and assumptions have been made using careful judgment. Actual results are likely to differ from the results derived using these estimates.

The following are items that have been derived using key assumptions concerning future outcomes and subject to several other key sources of estimation uncertainty. Consequently, there is a risk of a material adjustment to the carrying amount of assets and liabilities within the next financial year:

- Inventory (Note 7)
- Contingent legal matters (Note 12)

In the opinion of management, these financial statements have been properly prepared in accordance with IFRS Accounting Standards, within reasonable limits of materiality and the framework of the material accounting policies summarized in Note 3 to the financial statements.

5. Trade and Other Receivables

	2024	2023
Trade and other receivables	7,160	22,640

At December 31, 2024, no accounts receivable amounts are past due (2023 – No accounts receivable amounts were past due).

6. Accounting for Financial Instruments

(a) Risk Management Overview

The Balancing Pool's activities expose the Corporation to interest rate risk and liquidity risk.

- i) **Interest Rate Risk:** The Balancing Pool is exposed to interest rate risk on the related party loan. The value of the related party loan will change due to fluctuations in market interest rates. A one percent increase/decrease in interest rates will increase/decrease annual interest charges by \$4.2 million.
- ii) **Liquidity Risk:** Liquidity risk is the risk that the Balancing Pool will not be able to meet its financial obligations as they fall due. To manage this risk, management forecasts cash flows

for a period of 12 months and beyond and will adjust the consumer collection according to the *Balancing Pool Regulation* and borrow from the Government of Alberta. The changes to the EUA, enacted in December of 2016, provide the Balancing Pool with the capacity to borrow from the Government of Alberta (Note 15).

The following table below analyzes the Balancing Pool's financial liabilities into relevant maturity groupings based on the remaining period from the period end date to the contract maturity date.

December 31, 2024

	1 year	2 – 5 years	Total
Trade payables	84	-	84
Other accrued liabilities	17,446	352	17,798
Related party loan – principal	413,351	-	413,351
Related party loan – interest*	3,649	-	3,649
Total	434,530	352	434,882

**includes expected interest up to contractual maturity date of the loan.*

December 31, 2023

	1 year	2 – 5 years	Total
Trade payables	6,172	-	6,172
Other accrued liabilities	3,673	352	4,025
Related party loan – principal	480,058	-	480,058
Related party loan – interest*	6,942	-	6,942
Total	496,845	352	497,197

**includes expected interest up to contractual maturity date of the loan.*

(b) Fair Value Hierarchy

Financial instruments carried at fair value are categorized as follows:

December 31, 2024

<i>(in thousands of dollars)</i>	Quoted prices in active markets for identical assets	Significant other observable inputs	Significant unobservable inputs	Total
Assets	Level 1	Level 2	Level 3	
Cash and cash equivalents	65,654		-	65,654

December 31, 2023

<i>(in thousands of dollars)</i>	Quoted prices in active markets for identical assets	Significant other observable inputs	Significant unobservable inputs	Total
Assets	Level 1	Level 2	Level 3	
Cash and cash equivalents	52,079	-	-	52,079

i) Level 1

Fair values of assets and liabilities included in Level 1 are determined by reference to quoted prices in active markets for identical assets and liabilities.

ii) Level 2

Assets and liabilities in Level 2 include valuations using inputs other than Level 1 quoted prices for which all significant inputs are observable, either directly or indirectly.

iii) Level 3

Level 3 valuations are based on inputs that are unobservable and significant to the overall fair value measurement. Changes in valuation methods may result in transfers into or out of an assigned level. There were no transfers between Level 3 and Level 2.

7. Inventory

Emission credits	2024	2023
At January 1	43,690	-
Additions	-	43,690
Change in value	(11,360)	-
At December 31	32,330	43,690

In May 2023, the Balancing Pool reached a negotiated settlement related to a Hydro PPA change in law dispute. In the negotiated settlement, the Balancing Pool received 873,792 emission credits generated from the Hydro PPA units. The emission credits are held for trading and classified as

inventory. At December 31, 2024, the emission credits were written down by \$11.4 million (2023 – No write down to net realizable value) to net realizable value which was determined based on the recent selling price of emission credits less costs to sell.

8. Finance Expense

	2024	2023
Interest expense – related party loan (Note 15)	21,299	18,670
Accretion expense – reclamation and abandonment (Note 10)	983	1,150
	22,282	19,820

9. Trade Payable and Other Accrued Liabilities

	2024	2023
Trade payables	85	5,463
Accrued liabilities – Mandated costs	4,169	3,580
Accrued liabilities – PILOT	13,232	708
Accrued liabilities – Other	396	446
	17,882	10,197

10. Reclamation and Abandonment Provision

	Isolated Generation	Sundance A	Total
At January 1, 2023	113	25,333	25,446
Increase (decrease) in liability	(47)	(5,373)	(5,420)
Liabilities paid in year	(71)	-	(71)
Accretion expense	5	1,145	1,150
At December 31, 2023	-	21,105	21,105
At January 1, 2024	-	21,105	21,105
Increase (decrease) in liability	-	(13,432)	(13,432)
Accretion expense	-	983	983
At December 31, 2024	-	8,656	8,656

Decommissioning Costs of PPA Units

Pursuant to Section 5 of the *Power Purchase Arrangements Regulation*, a PPA Owner may apply to the AUC to receive from the Balancing Pool the amount by which decommissioning costs related to a former PPA unit exceed the amount the PPA Owner collected from consumers before January 1, 2001 and subsequently through the PPA, provided that the unit has ceased generating electricity and the application is made within one year of the termination or expiration of the PPA.

Section 5 of the *Power Purchase Arrangements Regulations* does not apply after December 31, 2018.

In December 2018, TransAlta submitted an application to the AUC as well as numerous amendments to decommission Sundance unit A. The Balancing Pool disputed several aspects of TransAlta's application. During the course of 2024, the AUC held a hearing in which the Balancing Pool acted as an intervenor to TransAlta's application to decommission Sundance unit A. On December 9, 2024, the AUC released decision 23778-D02-2024 which determined the Balancing Pool owes TransAlta \$8.6 million to decommission Sundance unit A. On December 31, 2024, the Balancing Pool recorded a \$13.4 million decrease (2023 – \$5.4 million decrease) to the provision as a result of the AUC's decision. No discounting was applied after December 31, 2024 as the payment to TransAlta was issued in February 2025 (2023 – 4.66% discount rate). See also Note 12.

11. Capital Management

The Balancing Pool's objective when managing capital is to operate as per the requirements of the EUA, which requires the Balancing Pool to operate with no profit or loss and no share capital and to forecast its revenues, expenses, and cash flows. Any excess or shortfall of funds in the accounts is to be allocated to, or provided by, electricity consumers over time.

A reconciliation of the opening and closing Balancing Pool deferral account is provided below.

Balancing Pool Deferral Account	2024	2023
Deferral account, beginning of year	(396,858)	(571,587)
Change to the Balancing Pool deferral account	60,154	174,729
Deferral account, end of year	(336,704)	(396,858)

The Board approved a 2024 consumer collection of \$1.30/MWh (2023 consumer collection - \$2.20/MWh) for a total collection from electricity consumers of \$78.9 million in accordance with the *Balancing Pool Regulation* (2023 consumer collection - \$129.4 million). In October 2024, the Board approved a 2025 consumer collection of \$1.30/MWh for an estimated total collection from electricity consumers of \$78.2 million in accordance with the *Balancing Pool Regulation*.

12. Contingencies and Commitments

Reclamation and Abandonment

TransAlta submitted an application as well as numerous amendments to the AUC to decommission Sundance A and was seeking \$53.8 million in funding from the Balancing Pool. The Balancing Pool disagreed with several aspects of the application. An AUC hearing was held during 2024. The AUC released its decision on December 9, 2024 determining the Balancing Pool owes TransAlta \$8.6 million to decommission Sundance unit A. In accordance with IFRS Accounting Standards, a provision of \$8.6 million (2023 - \$21.1 million) has been recorded. The

Balancing Pool remitted a payment of \$8.6 million to TransAlta in February 2025 in settlement of the reclamation and abandonment provision.

Legal Claim – Line Loss Proceeding

On January 27, 2021, the Balancing Pool received a statement of claim from a power producer related to the line loss rule proceeding and is seeking \$53.2 million in damages from the Balancing Pool. The Balancing Pool's statement of defense has been filed. The Balancing Pool considers the claim to be without merit. At December 31, 2024, no contingent liability has been recorded (2023 - \$nil).

13. Cost of Sales

	2024	2023
Power Purchase Arrangements recovery	-	(44)
Small scale generator costs	159	261
Amortization, depreciation, and banking fees	4	7
	163	224

14. Commercial Costs

	2024	2023
Commercial costs	2,046	2,293

In 2024, the Balancing Pool incurred \$2.0 million (2023 - \$2.3 million) in commercial costs. Commercial costs include legal and consulting expenditures related to PPA commercial disputes, the Sundance A decommissioning application, other legal matters and costs associated with managing the Corporation's emission credits.

15. Related Party Transactions

Key Management Compensation

Key management includes members of the Board of the Balancing Pool and the Chief Executive Officer. The compensation paid or payable to key management for services is shown below.

Key Management Compensation	2024	2023
Salaries, other short-term employee benefits	268	397

Government-Related Entity

The Balancing Pool considers itself to be a government-related entity as defined by IAS 24 – *Related Party Disclosures* and applies the exemption from the disclosure requirements of Paragraph 18 of IAS 24 – *Related Party Disclosures*. The members of the Board are appointed by the Minister of Affordability and Utilities. The financial information of the Balancing Pool is consolidated with the Ministry of Affordability and Utilities.

The Balancing Pool signed a loan agreement with the Government of Alberta. The loan agreement will remain until December 31, 2030 when all outstanding loan amounts are due to be paid back to the provincial government. As the Balancing Pool has short-term related party notes outstanding which mature prior to December 31, 2030, the Balancing Pool expects to repay maturing notes through its consumer collection and subsequent to December 31, 2024, has refinanced maturing notes outstanding with the Government of Alberta (Note 16), subject to the terms of the loan agreement. Details of the Balancing Pool's related party loans outstanding at December 31, 2024 and 2023 are as follows:

	Interest Rate	2024
Short-term discount note due on January 21, 2025	3.66%	159,667
Short-term discount note due on February 25, 2025	3.47%	255,643
		415,310

	Interest Rate	2023
Short-term discount note due on January 26, 2024	5.09%	199,275
Short-term discount note due on February 27, 2024	5.07%	284,690
		483,965

	2024	2023
At January 1	483,965	610,738
Proceeds from issue of loans	1,793,046	1,055,807
Accrued interest	21,299	18,670
Repayments	(1,883,000)	(1,201,250)
At December 31	415,310	483,965

At December 31, 2024, the Balancing Pool had \$415.3 million (2023 – \$484.0 million) in short-term discount notes issued to the Government of Alberta, including accrued interest of \$1.9 million (2023 – \$3.9 million). During 2024, net payments of \$90.0 million (2023 - \$145.4 million payment) were remitted on the outstanding loan. Fair value of the loan is the same as the amortized cost of borrowing.

Directed by the Minister of Affordability and Utilities, the Balancing Pool is mandated to make payments to the Office of the UCA to cover 80% of their annual operating costs. In 2024, the Balancing Pool expensed \$6.2 million (2023 – \$5.2 million) for the UCA.

The Balancing Pool also considers the AESO a government-related entity. The EUA requires the Balancing Pool to forecast its revenues and expenses with any excess or shortfall of funds in the accounts to be allocated to, or provided by, electricity consumers over time. Pursuant to the EUA, the AESO facilitates the collection or distribution of any excess or shortfall through an annualized amount included in the AESO's transmission tariff. In 2024, the Balancing Pool collected

\$78.9 million (2023 – \$129.4 million) from electricity consumers through the AESO's transmission tariff.

16. Subsequent Events

Related Party Transactions

The short-term discount notes that matured on January 21 and February 25, 2025, were re-financed with short-term discount notes with the terms noted below.

	Interest Rate	Amount re-financed
Short-term discount note due on April 22, 2025	3.47%	110,000
Short-term discount note due on May 27, 2025	2.83%	257,000

Other Financial Information

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Statement of Credit or Recovery (unaudited)

Department of Affordability and Utilities

Year Ended March 31, 2025

(in thousands)

	Authorized Spending	Actual Revenue Recognized	Unearned Revenue/ Deferred Contributions	Total Amount Received/ Receivable	(Shortfall) /Excess
EXPENSE AMOUNTS					
2 Affordability and Utilities					
2.2 Utilities Consumer Advocate	9,408	6,174	-	6,174	(3,234)
Credit or Recovery (Shortfall)	9,408	6,174	-	6,174	(3,234)

OTHER FINANCIAL INFORMATION

Lapse and Encumbrance

Department of Affordability and Utilities

Year ended March 31, 2025

(in thousands)

	Voted Estimate	Supplementary Estimate	Adjustments	Adjusted Voted Estimate	Voted Actuals	Over Expended (Unexpended)
EXPENSE VOTE BY PROGRAM						
OPERATING EXPENSE						
1 Ministry Support Services						
1.1 Minister's Office	\$ 865	-	-	\$ 865	\$ 851	\$ (14)
1.2 Deputy Minister's Office	659	-	-	659	1,127	468
1.3 Corporate Services	3,319	-	-	3,319	3,180	(139)
	4,843	-	-	4,843	5,158	315
2 Affordability and Utilities						
2.1 Affordability and Utilities	7,785	-	-	7,785	8,012	227
2.2 Utilities Consumer Advocate	8,158	-	1,250	9,408	8,889	(519)
	15,943	-	1,250	17,193	16,901	(292)
3 Utility Rebate and Grant Programs	1,700	-	-	1,700	919	(781)
4 Climate Change						
4.1 Renewable Electricity Programs	12,400	-	-	12,400	-	(12,400)
	12,400	-	-	12,400	-	(12,400)
CAPITAL GRANTS						
2 Affordability and Utilities						
2.1 Affordability and Utilities	6,400	-	-	6,400	6,400	-
	6,400	-	-	6,400	6,400	-
Total	41,286	-	1,250	42,536	29,378	(13,158)
Credit or Recovery Shortfall			(3,234)	(3,234)	-	3,234
	\$ 41,286	-	(1,984)	\$ 39,302	\$ 29,378	\$ (9,924)
(Lapse)/Encumbrance						\$ (9,924)
CAPITAL INVESTMENT VOTE BY PROGRAM						
DEPARTMENT CAPITAL ACQUISITIONS						
1 Ministry Support Services						
1.3 Corporate Services	25	-	-	25	25	-
	\$ 25	-	-	\$ 25	\$ 25	\$ -
(Lapse)/Encumbrance						\$ -
FINANCIAL TRANSACTIONS VOTE BY PROGRAM						
LEGAL LIABILITY RETIREMENT						
4 Climate Change						
4.2 Coal Phase-Out Agreements	96,970	-	-	96,970	93,165	(3,805)
	\$ 96,970	-	-	\$ 96,970	\$ 93,165	\$ (3,805)
(Lapse)/Encumbrance						\$ (3,805)
CONTINGENCY VOTE BY PROGRAM						
LEGAL LIABILITY RETIREMENT						
1 Ministry Support Services						
1.3 Corporate Services	-	-	200	200	200	-
	-	-	200	200	200	-
2 Affordability and Utilities	-	-	500	500	489	(11)
2.1 Affordability and Utilities	-	-	500	500	489	(11)
4 Climate Change	-	-	53,784	53,784	52,521	(1,263)
4.1 Renewable Electricity Programs	-	-	53,784	53,784	52,521	(1,263)
Total	\$ -	-	54,484	\$ 54,484	\$ 53,210	\$ (1,274)
(Lapse)/Encumbrance						\$ (1,274)

Annual Report Extracts and Other Statutory Reports

Statutory Report: Public Interest Disclosure Act

Section 32 of the *Public Interest Disclosure (Whistleblower Protection) Act* reads:

- 32**
- (1) Every chief officer must prepare a report annually on all disclosures that have been made to the designated officer of the department, public entity or office of the Legislature for which the chief officer is responsible.
 - (2) The report under subsection (1) must include the following information:
 - (a) the number of disclosures received by the designated officer, the number of disclosures acted on and the number of disclosures not acted on by the designated officer;
 - (b) the number of investigations commenced by the designated officer as a result of disclosures;
 - (c) in the case of an investigation that results in a finding of wrongdoing, a description of the wrongdoing and any recommendations made or corrective measures taken in relation to the wrongdoing or the reasons why no corrective measure was taken.
 - (3) The report under subsection (1) must be included in the annual report of the department, public entity or office of the Legislature if the annual report is made publicly available.

There were no disclosures of wrongdoing filed with my office, for your department, between April 1, 2024, and March 31, 2025